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May 18, 1995

To: Members of the Executive Board

From: The Secretary

Subject: Senegal - Staff Report for the 1995 Article IV Consultation
and Midterm Review Under the First Annual Arrangement Under
the Enhanced Structural Adjustment Facility

Attached for consideration by the Executive Directors is the staff report for the 1995 Article IV consultation with Senegal and the midterm review under the first annual arrangement under the enhanced structural adjustment facility, which is tentatively scheduled for discussion on Friday, June 9, 1995. A draft decision appears on page 14.

Mr. Tahari (ext. 36682) or Mr. De Vrijer (ext. 36259) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the African Development Bank (AfDB), the European Commission (EC), the Islamic Development Bank (IsDB), and the WTO Secretariat, following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

SENEGAL

Staff Report for the 1995 Article IV Consultation
and Midterm Review Under the First Annual Arrangement
Under the Enhanced Structural Adjustment Facility

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal,
Monetary and Exchange Affairs, Policy Development and Review,
Statistics, and Treasurer's Departments)

Approved by Evangelos A. Calamitsis and Chanpen Puckahtikom

May 17, 1995

I. Introduction

The discussions for the 1995 Article IV consultation and the midterm review under the first annual arrangement under the enhanced structural adjustment facility (ESAF) for Senegal were held in Dakar during the period March 10-24, 1995. ^{1/} The attached letter from the Minister of Economy, Finance, and Planning of Senegal, dated March 24, 1995 (Appendix II), reviews the progress made by Senegal under the first annual ESAF program in 1994, and sets out the policies and measures to be implemented in 1995.

On August 29, 1994 the Executive Board approved a three-year ESAF arrangement for Senegal in an amount equivalent to SDR 130.8 million (110 percent of quota), together with the first annual arrangement thereunder in an amount equivalent to SDR 47.6 million (40 percent of quota)--EBS/94/150, Supplement 1. The ESAF arrangement replaced a one-year stand-by arrangement, which was approved on March 2, 1994, in support of the adjustment program adopted by Senegal soon after the devaluation of the CFA franc. The first purchase under the stand-by arrangement (SDR 30.9 million) and the first semiannual disbursement under the ESAF arrangement (SDR 16.65 million) were effected upon Executive Board approval. The second semiannual disbursement under the ESAF arrangement is to be made available

^{1/} The Senegalese representatives included Mr. Sakho, the Minister of Economy, Finance, and Planning; Mr. Loum, the Minister Delegate in charge of the Budget; Mr. N'Diaye, the Acting National Director of the Central Bank of West African States (BCEAO); and other senior government officials. Prime Minister Thiam also received the mission. The staff representatives were Mr. Tahari (head), Mr. Rourke (PDR), Mr. De Vrijer, Mr. Lewis, Ms. Fouad, and Ms. Niaré (assistant), all AFR. Mr. Thiam, the Fund's resident representative in Dakar, assisted the mission.

subject to observance of the performance criteria for end-December 1994 and completion of the midterm review.

As of end-March 1995, Senegal's outstanding use of Fund resources amounted to SDR 202.5 million (170.3 percent of quota). If all the disbursements under the ESAF arrangements and all repurchases and loan repayments are made as scheduled, Senegal's use of Fund resources would amount to SDR 241.2 million (202.9 percent of quota) by end-June 1997 (Appendix I, Table I).

Senegal is on the standard 12-month consultation cycle. In concluding the last Article IV consultation on March 2, 1994, Directors welcomed the adoption by Senegal of a broad-based and comprehensive adjustment strategy, involving the devaluation of the CFA franc, and stressed the need for the authorities to implement all the accompanying financial and structural measures to ensure the achievement of sustainable economic growth and the restoration of internal and external financial viability over the medium term.

The World Bank has been supporting Senegal's development efforts through structural and sectoral adjustment lending, including an economic recovery credit for SDR 18.2 million approved on March 17, 1994, and more recently, a private sector adjustment and competitiveness credit for SDR 27.6 million approved on February 16, 1995. Senegal's relations with the Fund and the World Bank Group are summarized in Appendices IV and V, respectively.

II. Background and Recent Developments

In early 1994 the Senegalese authorities decided to take the necessary steps to tackle the serious difficulties that had beset the economy since the late 1980s, and to achieve sustained economic growth and financial viability over the medium term. The strengthening of the adjustment strategy was predicated in good measure on the devaluation of the CFA franc by 50 percent in foreign currency terms, which had been decided in the context of renewed efforts to increase regional cooperation and integration. In addition to correcting the exchange rate parity, the strategy involved: (a) the implementation of strong supporting fiscal and monetary policies, designed to keep inflation in check and ensure that the competitiveness of the economy would be restored on a lasting basis; and (b) the acceleration of structural reforms aimed at improving incentives for the private sector and promoting growth.

Immediately following the devaluation, the authorities implemented a comprehensive adjustment program that was supported by a stand-by arrangement from the Fund, which was replaced in August 1994 by the current ESAF arrangement. Overall, despite weaknesses in government revenue performance, the program remained broadly on track throughout most of 1994. However, in the last months of the year, difficulties re-emerged in revenue collection, delays occurred in the implementation of some structural reforms, and there

were also shortfalls in external budgetary assistance. Consequently, although developments in 1994 were broadly encouraging, the overall results under the program were mixed. The performance criteria for end-December 1994 and the quantitative and structural benchmarks for end-September and end-December 1994 under the ESAF arrangement were observed, except for the benchmark on government revenue and the performance criteria related to the elimination and nonaccumulation of external payments arrears (Appendix II, Annex). The authorities have requested waivers for the nonobservance of these performance criteria.

The macroeconomic objectives of the program have been broadly achieved. Real GDP growth in 1994 is estimated to have amounted to 2 percent, close to the program objective for the year (Appendix I, Table II, and Chart 1). Agricultural production, which was helped by good weather conditions, rebounded strongly, as did the fishing, tourism, and other export-oriented activities. On the other hand, activity in the commerce and transportation sectors contracted more than foreseen, partly reflecting the fall in the volume of imports. Inflation in 1994 was more moderate than projected, as the rise in the GDP deflator was around 33 percent, and the average increase in the consumer price index for Dakar was contained at 32 percent, instead of the projected rate of 39 percent. Government spending restraint, particularly on wages, as well as a cautious monetary policy, helped moderate inflationary pressures after the devaluation.

In the external sector, the real effective exchange rate--based on relative consumer prices--declined by some 35 percent and the competitiveness of the economy improved considerably (Chart 2). There was a significant pickup in tourism and exports (especially of groundnuts and fish products), which increased in volume by more than expected, and a sizable reflow of flight capital was recorded. Also, the change in relative prices led to a shift of consumption toward domestically produced products, which was reflected in a drop in the volume of imports. The external current account deficit, excluding official transfers, thus amounted in 1994 to 9.2 percent of GDP, below the programmed level (Appendix I, Table VI). However, disbursements of external budgetary assistance fell CFAF 46 billion short of projections, owing largely to delays in reaching agreements with the World Bank on the private sector competitiveness and agricultural sector adjustment credits. These shortfalls contributed to the nonobservance of the performance criteria on the nonaccumulation and elimination by end-December 1994 of external payments arrears. ^{1/}

In the fiscal area, the authorities maintained a very restrained spending stance throughout 1994, particularly on wages. The average increase in wages, which became effective in April 1994, was kept below 10 percent, in line with the program, and the benchmark on the wage bill was observed. Other current spending was broadly as projected, with the

^{1/} The accumulation of new external payments arrears reflects a lack of domestic counterpart funds and does not evidence a jurisdictional restriction.

CFAF 15 billion provision for social safety net measures almost entirely utilized. ^{1/} In contrast, the deficit of the special accounts of the Treasury was larger than projected, primarily because of the difficult financial situation of the National Retirement Fund (FNR). Capital outlays remained somewhat below forecasts, owing to administrative delays encountered in the start-up of certain projects. On the receipt side, government revenue performance was weaker than projected, with collections falling almost CFAF 26 billion (1 percent of GDP) short of the program's benchmark for the year as a whole. This shortfall was due primarily to administrative weaknesses and tax fraud, particularly at customs, as well as delays in the receipt of funds under the fishing agreement with the European Union. The overall fiscal deficit, on a commitment basis and excluding grants, thus exceeded the program target of 4.5 percent of GDP by over 1 percentage point (Appendix I, Table III). ^{2/} Domestic payments arrears were reduced as planned but, as noted above, external payments arrears could not be eliminated as programmed, largely because of the shortfall in external budgetary assistance.

In the monetary area, where policy is determined by the BCEAO at the level of the West African Economic and Monetary Union (WAEMU), money supply growth amounted to 39 percent, or more than projected, reflecting a strengthening of money demand and a return of confidence (Appendix I, Table V). At the same time, net bank credit to the Government and the net domestic assets of the banking system remained well within the program ceilings. As a result, the contribution of Senegal to the net foreign assets position of the BCEAO improved much faster than forecast.

Credit conditions remained generally tight throughout the year. Following the devaluation, the Central Bank's discount rate was raised from 10 percent to 14.5 percent on January 18, 1994; subsequently, with inflation in the zone abating, the discount rate was reduced in four steps, to 9 percent on January 23, 1995. After an initially sluggish expansion of bank credit to the private sector, credit demand rose moderately in the second half of the year in line with the pickup in economic activity, but remained well below what could be accommodated under the program. Starting in August 1994, the authorities issued 12-year securities against the consolidated public debt--amounting to CFAF 144 billion--assumed by the Government in the context of the restructuring of the Senegalese banking system. These securities, which are redeemable at par and carry a tax exempt interest rate of 5 percent, were purchased by local investors, as well as by investors from other WAEMU countries.

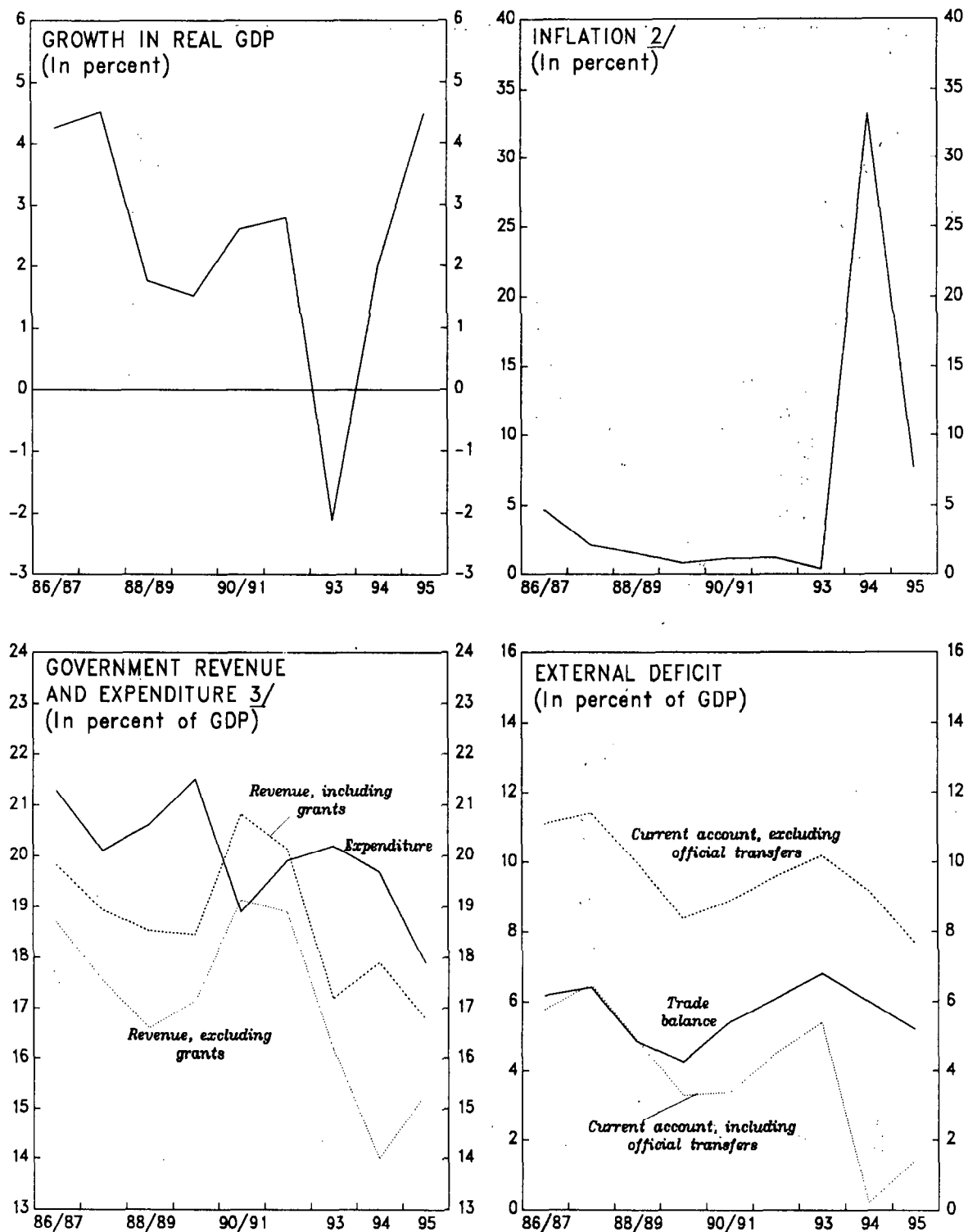
^{1/} The amount was used to temporarily subsidize the consumer prices of rice and wheat, as well as for health, education, and other social outlays benefiting the most vulnerable groups.

^{2/} The fiscal deficit on a cash basis was partly financed by higher domestic nonbank resources, including payments by public enterprises of rescheduled debt service on their guaranteed debt.

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CHART 1

SENEGAL
MAIN ECONOMIC INDICATORS, 1986/87-1995 ^{1/}



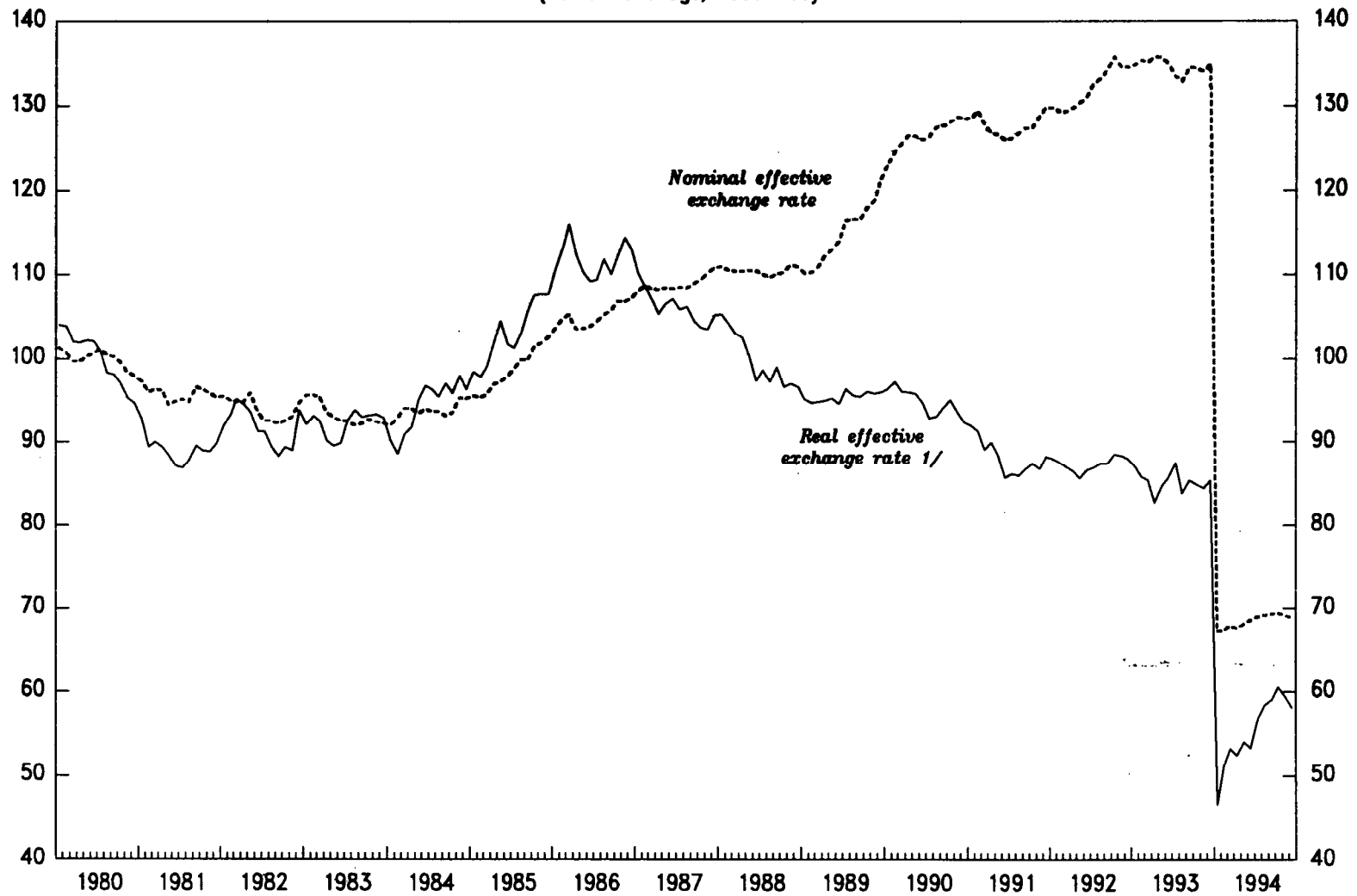
Sources: Data provided by the Senegalese authorities; and staff estimates.

^{1/} Fiscal year ending June through 1991/92; calendar year starting 1993.

^{2/} Percentage change in GDP deflator.

^{3/} Central Government, on a commitment basis.

CHART 2
 SENEGAL
 REAL AND NOMINAL EFFECTIVE EXCHANGE RATES
 JANUARY 1980-DECEMBER 1994
 (Period average; 1980=100)



Source: IMF Information Notice System.

1/ Based on relative CPIs.

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On the structural front, most of the measures planned for 1994 were implemented. In the regulatory area, the Office of Port Personnel lost its monopoly in July 1994, and the labor code was amended in November 1994, ahead of schedule, allowing enterprises to freely adjust their work force according to economic needs. Price controls on 12 commodities were eliminated as planned, leaving only a limited number of controlled prices. All remaining prior authorizations for imports and exports have been rescinded, except those required for public health and security reasons, for the import of gold and silver bars and second-hand clothing, as well as for the export of precious metals and mineral products. The special agreements (conventions spéciales) and protocols between the Government and several companies, which granted them a certain degree of protection and tax advantages, were renegotiated as planned. The objective was to put all these enterprises under the common tax regime. 1/

In the agricultural sector, the authorities implemented several reforms aimed at improving efficiency and encouraging diversification. The marketing and processing of domestically produced rice was completely liberalized and the Caisse de Péréquation et de Stabilization des Prix (CPSP) began permitting the private sector to import broken rice. However, delays were encountered in offering the groundnut marketing enterprise (SONACOS) for sale to the private sector, even though a law was passed for its privatization. After discussions with concerned donors and the World Bank, the date for opening bids was postponed to September 1995. 2/

In the area of public enterprise reform, a financial audit of the Senegalese electricity company (SENELEC) was carried out and the signing of a new performance contract for the company, planned for January 1995, was postponed to later in the year in order to take into account the conclusions of a study, which began in March 1995, on the reorganization and reduction of costs of the company. Reforms in other public enterprises are being carried out as planned. The civil service audit, expected to be completed before end-1994, began only in April 1995, because of delays encountered in the preparation of the terms of reference and the mobilization of external resources to finance the audit.

1/ As part of these renegotiations, and as planned, the quantitative restrictions and prior import authorizations were replaced by temporary surcharges to provide reasonable tariff protection. Soon after the devaluation in January 1994, the authorities had reduced the maximum import duty from 75 percent to 45 percent and established a minimum rate of 5 percent.

2/ In the attached letter of intent, the authorities were ready to open the bids in May 1995. However, following more recent discussions with the World Bank and other donors, it was agreed to postpone the bidding to September 1995 to accommodate delays in the valuation of SONACOS being carried out by outside consultants, and to ensure full success of the operation.

Overall, Senegal's macroeconomic data base is comprehensive, but there are deficiencies in the methodologies for compiling the national accounts, balance of payments, and the CPI data (Appendix VI). The authorities are taking steps to improve the quality and availability of economic data.

III. Report on the Discussions and the 1995 Program

In light of developments in 1994, the discussions with the Senegalese authorities focused on the effective implementation of all the measures under the first annual ESAF arrangement, as well as the additional measures required to maintain the program on track and achieve its objectives. While noting the social pressures they continued to face, the authorities reiterated their strong commitment to the success of the program. In March 1995, the main opposition party rejoined the Government of President Diouf, which now enjoys broader-based support.

The authorities believed that the original program objectives for 1995 remain attainable, given their determination to sustain the reform efforts and to avoid any new slippages. The macroeconomic objectives for 1995 are to achieve a real GDP growth rate of 4.5 percent; to reduce average inflation, as measured by the GDP deflator, to 7.8 percent; and to lower the external current account deficit, excluding official transfers, to 7.7 percent of GDP. With the restoration of competitiveness, export receipts are expected to benefit in 1995 from the continued increase in export volumes of groundnuts, cotton, and fish products, as well as from a pickup in nontraditional exports, including horticultural products. The tourism sector is also expected to expand further. The buoyancy of exports should more than compensate for the projected recovery of imports as output growth gathers steam.

1. Financial policies

The main focus of the authorities' policies in 1995 is on consolidating the fiscal position through a significant improvement in government revenue performance and continued restraint in spending, particularly on wages. The 1995 government budget, which was approved by Parliament last December, aims at reducing the overall fiscal deficit, on a commitment basis and excluding grants, from 5.7 percent of GDP in 1994 to 2.6 percent, in line with the objectives of the medium-term program. To this end, a number of measures were implemented as prior actions, and others are being carried out.

On the revenue side, the authorities believed that their efforts in recent months would lead to an increase in government revenue of 23 percent to CFAF 371.2 billion in 1995 (Appendix I, Table IV), following the disappointing performance in 1994. Already, during the first quarter of 1995, the program's benchmark related to government revenue was exceeded. To ensure that this improvement is durable, determined actions to reduce fiscal fraud, expand the tax base, and strengthen the customs and tax administrations are being carried out. They include, in particular, a reduction in statutory and ad hoc tax exemptions, as well as an extensive

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reorganization of the tax and customs administrations designed to improve revenue collections. As prior actions, the reorganization of the Customs Department was completed, and a single registration system for enterprises was initiated before April 15, 1995. The reorganization of the customs administration involved the setting up of regional directorates; the redeployment of staff to border areas where controls are being intensified; the strengthening of internal hierarchical controls; and the improvement of the use of the computerized customs clearance system. Emphasis is also being put on reinforcing the import verification program implemented with the help of the Société générale de surveillance (SGS); the creation of public bonded warehouses and the elimination of fictitious warehousing; the systematic cross-checking of customs declarations against tax returns of companies subject to the value-added tax (VAT); and the strict application of sanctions to combat fraud. The authorities recognized that the key to improving revenue performance remains the political determination to combat and reduce fraud.

On the expenditure side, the authorities intend to limit total spending, on a commitment basis, to CFAF 434.9 billion in 1995, an increase of only 2 percent from the 1994 level. Spending on wages is to be contained at CFAF 157.5 billion, or somewhat below the originally programmed amount of CFAF 160 billion. To this end, no general pay raise will be granted in 1995 and new hiring is to be strictly limited. The increase in the wage bill in 1995 will amount to about 6 percent, reflecting the full-year impact of the pay raise granted in 1994, normal promotions, and some limited recruitment in health and education. The measures that will be recommended on the basis of the audit of the payroll, which started in April 1995 as part of the ongoing reform of the civil service are to be put in place beginning in July 1995. A very prudent policy will also be pursued with regard to nonwage spending, while providing adequately for basic health and education services. The 1995 budget also allocates CFAF 10 billion for social safety net measures. ^{1/} The staff stressed the importance of integrating these measures within the Government's social programs and targeting social spending more effectively, in line with the recommendations of the recent FAD social safety net mission. Furthermore, the authorities intend to take the necessary measures to balance the operations of the FNR from June 1995, through reduction in costs and increases in contributions. Any additional expenditure related to the recent broadening of the Government will be compensated by economies elsewhere, and as a prior action, the necessary instructions have been given to ensure that no extrabudgetary spending takes place. Finally, capital expenditure is projected to rise by 16 percent, with priority given to infrastructure and high-yielding projects, especially in the rural sector.

At the end of 1994, the remaining identified and verified domestic payments arrears amounted to CFAF 14.9 billion, and outstanding external

^{1/} For more details on social policies during 1994-97, see EBD/94/129.

payments arrears to CFAF 45.5 billion. 1/ The projected budget deficit, as well as the elimination of all these arrears by end-1995, will involve a total external financing requirement (excluding project-related assistance) of about CFAF 130 billion for the year as a whole. Out of this amount, financing for about CFAF 105 billion has been identified, 2/ leaving an unfinanced gap of some CFAF 25 billion. For the first six months of 1995 (second half of the first annual ESAF program), exceptional budgetary external assistance of CFAF 58 billion has been identified. This will fully cover the financing requirement for this period, allowing for the originally programmed reduction in domestic payments arrears of CFAF 10 billion by end-June 1995, and a reduction of CFAF 18 billion in outstanding external payments arrears. The staff urged the authorities to seek additional external financing for the second half of 1995 to ensure that the gap for the entire year is fully covered. The staff also indicated that the completion of the negotiations on the second annual ESAF arrangement, to be carried out later in the year, will hinge upon the continuation of strong policies, as well as assurances that the financing gaps for 1995 and 1996 are fully covered.

The monetary authorities intend to pursue prudent credit policies consistent with the balance of payments objective. With confidence strengthening, and with lower inflationary expectations, the rate of growth of broad money is projected to decelerate to less than 20 percent in 1995. The expected improvement in the fiscal position should enable the Government to avoid net recourse to the domestic banking system, thereby making room for an adequate provision of credit to the private sector; the latter is projected to increase by 13 percent, in line with the nominal GDP growth. The increase in the net domestic assets of the banking system is thus projected to be limited in 1995 to 8 percent of the beginning-of-period money stock, while the net foreign assets position is expected to improve further.

Monetary policy will continue to rely on the use of the indirect instruments introduced by the BCEAO in October 1993, including the application of a flexible interest rate policy, a reliance on reserve requirements, and the expansion of the role of the money market. Also, the agricultural bank will be recapitalized in 1995, and the authorities intend to encourage the establishment of local savings and loan institutions. The authorities recognized some of the shortcomings of the securitization scheme put in place during 1994--notably the fixed interest rate, the exemption from taxes, and the ability of banks to use the securities to meet reserve

1/ Of which CFAF 12.3 billion was due to multilateral creditors; CFAF 3.6 billion to commercial banks; and the remainder to official bilateral creditors.

2/ Including CFAF 37 billion from the World Bank; CFAF 10 billion from the European Union; CFAF 28 billion from bilateral donors; and CFAF 30 billion in the form of debt relief obtained from Paris Club creditors (see Appendix III). The 1994 delays in World Bank disbursements are not expected to be fully reversed during 1995.

requirements. They are now studying in collaboration with other WAEMU members the possibility of developing a broader-based market for debt instruments.

2. Structural measures

The authorities are continuing to implement the structural measures envisaged in the memorandum of economic and financial policies for 1994-95 (EBS/94/150, Appendix II) and the PFP, as well as in the recently negotiated private sector competitiveness and agricultural sector adjustment credits with the World Bank. The structural reforms focus on three main areas: (a) further liberalization of the labor market, prices, and external trade; (b) increases in the efficiency and diversification of the agricultural sector; and (c) rationalization of public sector operations and acceleration of public enterprise reform. In addition, the authorities are continuing their reform efforts in the education, health, and transport sectors.

With regard to the regulatory environment and price and trade policy, the authorities noted that they had already implemented a number of far-reaching reforms, including liberalization of most prices, elimination of virtually all prior authorizations for imports and exports, and the renegotiation of special agreements with several companies. They intend to continue implementing the second phase of the price and trade liberalization program, including in particular the elimination of administered wholesale prices for rice by June 1995, and the liberalization of wheat flour imports and prices by November 1995. ^{1/} To foster export activities and foreign investment, the regulatory framework governing the free trade zone and the investment regime will also be revised. Moreover, as prior actions, in mid-April 1995 the transport subsidy of the CPSP was abolished in all regions, and the CPSP abandoned its activities in the distribution of imported rice and closed its regional stores, with the exception of those in Dakar, which are to be closed by June 1995.

In the agricultural sector, the staff pressed for adherence to the original agenda of reforms and for making up for the delays that had been encountered to date, such as in the privatization of SONACOS. The authorities explained that these delays had been recommended by key donors to ensure the success of the operation. Other reforms are being carried out as planned, including the restructuring of the cotton marketing enterprise (SODEFITEX), which aimed at reducing its costs. Both the groundnut and cotton sectors have benefited from the devaluation and registered surpluses in 1994. Producer prices for these two crops are determined by a committee representing the farmers, the marketing agencies, and the Government, taking into account world market prices. All other producer prices are freely determined in the market. In the context of its withdrawal from rice import and marketing activities, the CPSP will be restructured and its role limited

^{1/} Only the prices of bread, locally manufactured drugs, butane, petroleum products, charcoal, and utility services, as well as charges for medical services, will remain controlled.

to monitoring the rice sector and managing a security stock. The rice sector is to be entirely restructured by February 1996. Moreover, several studies are being carried out to further develop the agricultural sector, including studies to promote livestock production as well as exports of horticultural products.

Progress is also being made in public enterprise reform and privatization. As a prior action, a law was adopted on March 24, 1995 allowing for the privatization of the water company (SONEES), in spite of strong labor opposition. Furthermore, before end-June 1995, the necessary actions will be taken to finalize the privatization of two enterprises (SSPT and SPHU-Teranga) and SH-Saly will be liquidated. ^{1/} Finally, before end-December 1995, the Government will adopt, in consultation with the World Bank, a three-year public investment program (PIP) for 1996-98. The PIP will continue to give priority to infrastructure and high-yielding projects in the productive sectors.

The authorities intend to continue playing an active role in promoting regional trade and economic integration among the member countries of the WAEMU. In this context, a regional initiative is under way to harmonize customs duties and indirect taxation. The authorities indicated that Senegal intends to keep its exchange system free of restrictions on payments and transfers for current international transactions. Senegal also intends to accept the obligations of Article VIII, Sections 2, 3, and 4 of the Articles of Agreement of the Fund as soon as possible.

3. Medium-term balance of payments outlook

The medium-term balance of payments projections presented in EBS/94/150 were updated in light of developments in 1994 and the latest estimates of the World Economic Outlook. It is expected that the restoration of the competitiveness of the economy, together with the effective implementation of the measures described in the preceding paragraphs, would contribute to a significant improvement in Senegal's external position and the achievement of external viability over the medium term. According to the updated scenario (Appendix I, Tables VI and VII), the external current account deficit, excluding official transfers, is now projected to narrow from 9.2 percent of GDP in 1994 to less than 6 percent in 1999. This improvement is expected to be brought about by a decline in the trade deficit, an increase in tourism receipts, and higher net inflows of private transfers. The increase in export volume is projected to average 6 percent a year over the five-year period 1995-99. Meanwhile, the volume of imports is projected to grow by about 4 percent a year, with imports of capital goods registering the highest rate of increase. The terms of trade are expected to remain virtually unchanged over the projection period.

^{1/} SSPT: Société sénégalaise de phosphates de Thiès; SPHU-Teranga: Société propriétaire de l'hôtel de l'union Teranga; SH-Saly: Société hôtelière Saly.

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Senegal will continue to rely heavily on concessional external assistance to finance investment projects. After taking into account projected disbursements of project aid and private capital reflows, disbursements under the ESAF, as well as the recent Paris Club rescheduling, ^{1/} the remaining financing requirements for the period 1995-97--averaging about CFAF 35 billion a year--are expected to be covered by multilateral and bilateral aid, additional debt rescheduling, as well as by sectoral adjustment loans from the World Bank. The multilateral debt of Senegal amounted to US\$1.9 billion at end-1994, representing close to 60 percent of total outstanding debt. Service obligations on multilateral debt represent 47 percent of total debt service in 1995. As external financing is expected to remain on concessional terms, the debt service ratio, after debt relief, is projected to decline to 13 percent by 1999, of which about half owed to multilateral creditors. Under the updated scenario, repayments to the Fund would continue to be relatively small in relation to projected exports of goods and nonfactor services (1.6 percent in the year 2003), and Senegal can be expected to meet its future obligations in a timely manner.

IV. Staff Appraisal

Economic developments under Senegal's ESAF-supported program were generally encouraging in 1994, although there were some setbacks and the results were mixed. The macroeconomic objectives of the program were largely achieved. Real GDP growth turned positive and was close to target, while inflation was lower than projected. With the restoration of competitiveness following the devaluation of the CFA franc, there was a significant pickup in tourism and export activities, as well as sizable reflows of flight capital; the external position thus improved appreciably.

However, in the last few months of the year, difficulties re-emerged in government revenue collection, delays were registered in the implementation of some structural reforms, and there were shortfalls in external assistance, owing largely to difficulties in reaching understandings with the World Bank on the private sector competitiveness and agricultural sector adjustment credits. The performance criteria and the quantitative and structural benchmarks through end-December 1994 were observed, except those related to the nonaccumulation and elimination of external payments arrears and to government revenue.

^{1/} The recent multiyear rescheduling agreement with the Paris Club involves Naples terms and covers the period up to end-August 1997; creditors agreed in principle to hold a meeting to consider a stock-of-debt operation by that date (see Appendix III for more details). Comparable treatment is being sought from other bilateral creditors. Progress has also been made in the IDA-supported commercial debt reduction operation, which is expected to be completed in the next few months.

In the fiscal area, the authorities pursued a very restrained spending policy, especially on wages, but government revenue performance was weak, owing largely to administrative problems and tax fraud, particularly at customs. The overall fiscal deficit thus exceeded the program target, and was partly financed by higher nonbank resources. Net bank credit to the Government and the net domestic assets of the banking system, however, remained well within the program ceilings. On the structural front, most measures were implemented as envisaged, but there were some delays, notably in carrying out the audit of the government payroll files and in privatizing the groundnut marketing agency.

Overall, in spite of some setbacks, Senegal has made progress in implementing important structural measures and moving its economy toward financial viability. Nonetheless, the economic situation remains fragile, and further efforts are needed to achieve the medium-term objectives of the program. The authorities are thus urged to persevere in their efforts, notably in four key areas.

- Improving revenue collection. To achieve the program objectives, it is essential that government revenue performance be improved substantially and durably, especially at customs. To this end, determined actions must be pursued to reduce fiscal fraud, strengthen customs and tax administrations, and widen the tax base. Although the results obtained during the first quarter of 1995 in improving revenue collection have been encouraging, the progress made needs to be sustained. In this context, the staff welcomes the political commitment at the highest level to combat fraud and to ensure a better revenue performance.

- Maintaining spending restraint. The authorities' successful efforts in containing spending last year should also prevail in 1995. Restraint as regards the wage bill and other current outlays is essential, but adequate provisions should be made for basic health and education services, as well as for the social safety net. The authorities' commitments not to grant any general wage increase and to strictly limit recruitment in 1995 are crucial to maintain spending within the targeted level. They will have to remain particularly alert in this area and ensure that no extrabudgetary outlays take place.

- Pursuing a prudent credit policy. Credit policy needs to remain prudent. The strengthening of monetary management through a more effective use of indirect instruments in the context of the WAEMU should be given high priority. Key interest rates should be fully market-determined to encourage savings and an efficient allocation of resources. Efforts to improve the effectiveness of monetary policy instruments and stimulate money market development, to accelerate economic integration among WAEMU countries, and to strengthen cooperation and monetary policy coordination are all essential. The staff considers the actions of the Senegalese authorities in these areas to be of decisive importance for the region.

- Accelerating structural reforms. A wide range of structural measures were implemented under the ESAF-supported program and the World

Bank sectoral adjustment credits, focusing in particular on trade and price liberalization, as well as agricultural sector and public enterprise reforms. While welcoming these efforts, the staff urges the authorities to adhere to the original agenda of actions and to effectively implement the next phase of reforms in these areas. These steps are necessary to ensure that full advantage is taken of the window of opportunity opened by the devaluation and to promote private sector development and economic growth.

Senegal continues to avail itself of the transitional arrangements under Article XIV, Section 2, but intends to keep its exchange system free of restrictions on payments and transfers for current international transactions. The staff will keep under active review developments in Senegal's exchange system that may involve Fund jurisdiction, and urges Senegal to accept the obligations of Article VIII, Sections 2, 3, and 4 of the IMF's Articles of Agreement at an early date.

In spite of the progress achieved to date, Senegal's program objectives, while attainable, remain subject to some risks, including the evolution of the terms of trade and internal social pressures. The authorities are keenly aware that they cannot afford any slippages in the period ahead, and they should stand ready to take any additional measures that may be required by changing circumstances. The risks are attenuated somewhat by the prior actions that were implemented. Timely availability of external financial assistance is also a key condition for the success of the program.

The authorities have requested waivers for the nonobservance of the performance criteria on the elimination by end-December 1994 of external payments arrears and the nonaccumulation of such arrears during the period of the arrangement. As the authorities have already taken adequate corrective measures, including strong prior actions, and have committed themselves to taking additional measures if necessary, and in view of the strength of the proposed adjustment program for 1995, the staff recommends that the requested waivers be granted and that the present review under the first annual ESAF arrangement be completed.

It is proposed that the next Article IV consultation with Senegal be held on the standard 12-month cycle.

V. Proposed Decision

In view of the foregoing, the following draft decision is proposed for adoption by the Executive Board:

Senegal - Review Under the First Annual ESAF Arrangement

1. Senegal has consulted with the Fund in accordance with paragraph 2(d) of the first annual arrangement under the enhanced structural adjustment facility (ESAF) for Senegal (EBS/94/150, Supplement 1, 8/31/94), and paragraph 31 of the memorandum annexed to the letter of July 1, 1994 from the Minister of Economy, Finance, and Planning of Senegal.

2. The letter of the Minister of Economy, Finance, and Planning of Senegal dated March 24, 1995 shall be attached to the first annual ESAF arrangement for Senegal, and the letter with annexed memorandum of July 1, 1994 shall be read as supplemented by the letter dated March 24, 1995.

3. The Fund determines that the review contemplated in paragraph 2(d) of the first annual ESAF arrangement for Senegal has been completed and that, notwithstanding the nonobservance of the performance criteria specified in paragraphs 2(a)(iv) and 2 (c)(v) of its first annual ESAF arrangement, Senegal may proceed to request the disbursement of the second loan under that arrangement.

Table I. Senegal: Fund Position During the Period of the ESAF Arrangement, 1995-97

	Outstanding March 31, 1995	1995			1996				1997	
		Apr. - June	July- Sept.	Oct. - Dec.	Jan. - Mar.	Apr. - June	July- Sept.	Oct. - Dec.	Jan. - Mar.	Apr. - June
(In millions of SDRs)										
Net use of Fund credit		21.54	-2.98	12.29	-2.98	12.29	-2.98	4.64	-2.98	-0.06
Transactions under tranche policies		--	--	--	--	--	--	--	--	-3.86
Purchases		--	--	--	--	--	--	--	--	--
Ordinary resources		--	--	--	--	--	--	--	--	--
Borrowed resources		--	--	--	--	--	--	--	--	--
Repurchases		--	--	--	--	--	--	--	--	-3.86
Ordinary resources		--	--	--	--	--	--	--	--	-3.86
Borrowed resources		--	--	--	--	--	--	--	--	--
Transactions under special facilities		--	--	--	--	--	--	--	--	--
Loans under		21.54	-2.98	12.29	-2.98	12.29	-2.98	4.64	-2.98	3.80
Structural adjustment facility		-4.26	--	-4.26	--	-4.26	--	-4.26	--	-2.55
Drawings		--	--	--	--	--	--	--	--	--
Repayments		-4.26	--	-4.26	--	-4.26	--	-4.26	--	-2.55
Enhanced structural adjustment facility		25.80	-2.98	16.55	-2.98	16.55	-2.98	8.90	-2.98	6.35
Drawings		30.91	--	23.78	--	23.78	--	17.84	--	17.84
Repayments		-5.11	-2.98	-7.23	-2.98	-7.23	-2.98	-8.94	-2.98	-11.49
Total Fund credit outstanding	202.45	224.00	221.01	233.31	230.33	242.62	239.64	244.29	241.31	241.24
Under tranche policies	30.91	30.91	30.91	30.91	30.91	30.91	30.91	30.91	30.91	27.05
Under special facilities	--	--	--	--	--	--	--	--	--	--
Under structural adjustment facility	22.13	17.87	17.87	13.62	13.62	9.36	9.36	5.11	5.11	2.55
Under enhanced structural adjustment facility	149.41	175.21	172.23	188.78	185.80	202.35	199.37	208.27	205.29	211.64
(In percent of quota)										
Total Fund credit outstanding	170.27	188.39	185.88	196.23	193.72	204.06	201.55	205.46	202.95	202.89
Under tranche policies	26.00	26.00	26.00	26.00	26.00	26.00	26.00	26.00	26.00	22.75
Under special facilities	--	--	--	--	--	--	--	--	--	--
Under structural adjustment facility	18.61	15.03	15.03	11.46	11.46	7.87	7.87	4.30	4.30	2.15
Under enhanced structural adjustment facility	125.66	147.36	144.85	158.77	156.27	170.19	167.68	175.16	172.66	177.99

Source: IMF, Treasurer's Department.

Table II. Senegal: Selected Economic and Financial Indicators, 1992-95

	1992	1993	1994		1995	
			Prog.	Est.	Prog.	Proj.
	<u>(Annual percentage change)</u>					
National income and prices						
GDP at constant prices	2.8	-2.1	2.4	2.0	4.7	4.5
GDP deflator	1.2	0.4	35.4	33.2	7.8	7.8
Consumer prices ^{1/}						
Annual average	-0.1	-0.6	39.1	32.1	7.8	7.8
End-of-period	-0.5	0.5	...	37.5	...	3.8
External sector						
Exports, f.o.b. (in SDRs)	-2.4	-12.5	6.5	7.7	13.5	10.6
Imports, f.o.b. (in SDRs)	4.6	-7.4	-8.4	-9.1	7.5	8.0
Export volume	-8.2	-6.5	5.6	8.6	9.0	7.2
Import volume	3.0	-4.7	-8.3	-4.4	6.5	5.2
Terms of trade (deterioration -)	2.8	-2.8	2.0	5.1	1.9	-1.1
Nominal effective exchange rate ^{2/}	3.5	2.0	-49.8	-49.1	...	...
Real effective exchange rate ^{2/}	-1.0	-2.4	-36.3	-35.2	...	...
Government financial operations						
Revenue	-3.9	-12.8	27.8	17.8	17.2	23.1
Total expenditure and net lending	15.0	-9.7	33.8	32.8	5.2	2.4
Money and credit						
Net domestic assets ^{3/}	0.6	-4.5	17.0	-6.6	5.0	7.7
Of which: credit to the Government (net)	(-8.2)	(-6.6)	(-1.4)	(-13.3)	(-3.7)	(--)
credit to the economy	(10.9)	(3.3)	(18.4)	(8.1)	(8.7)	(7.7)
Money and quasi-money (M2)	3.6	-12.6	32.4	39.2	18.7	19.6
Velocity (GDP/M2)	4.2	4.7	5.1	4.6	4.8	4.3
Interest rate (discount rate) ^{4/}	12.5	10.5	14.5	10.0	...	...
	<u>(In percent of GDP, unless otherwise indicated)</u>					
Overall fiscal surplus or deficit (-)						
Commitment basis, excluding grants	-3.8	-4.0	-4.5	-5.7	-2.6	-2.6
Commitment basis, including grants	-2.5	-3.0	-0.7	-1.8	-1.4	-0.9
Payments arrears of the Government and public agencies (stock at end of period)	5.0	8.5	0.7	2.8	--	--
Gross domestic investment	14.0	13.2	15.1	13.6	15.5	15.6
Gross domestic savings	7.6	6.2	9.3	8.4	11.2	11.3
Gross national savings	4.4	3.0	5.3	4.4	7.7	7.9
External current account deficit (-)						
Excluding official transfers	-9.6	-10.2	-9.8	-9.2	-7.8	-7.7
Including official transfers	-4.5	-5.4	-1.0	0.2	-2.1	-1.2
External debt ^{5/}	56.0	62.5	90.1	80.2	83.8	72.5
Debt service ratio ^{6/}	22.7	22.5	18.9	18.9	17.7	17.7
GDP at current market prices (in billions of CFA francs)	1,612.8	1,586.6	2,266.1	2,155.0	2,558.1	2,426.5
Overall balance of payments surplus or deficit (-) (in millions of SDRs) ^{7/}	-92.5	-199.5	73.0	89.8	-36.2	17.9
Gross official foreign reserves (in weeks of imports)	0.6	0.1	0.2	1.0	2.0	6.4

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} Index of consumer prices in Dakar.

^{2/} Period average (depreciation -).

^{3/} Changes in percent of beginning-of-period money stock.

^{4/} End-of-period.

^{5/} Public and publicly guaranteed debt, including Fund credit and central bank liabilities.

^{6/} In percent of exports of goods, services, and private transfers. Before debt rescheduling, but after debt cancellation obtained through 1994.

^{7/} Before debt rescheduling and debt cancellation.

Table III. Senegal: Government Financial Operations, 1992-95

	1992	1993	1994		1995	1995	
			Prog.	Prel.	Prog. Dec.	Projections June	Projections Dec.
(In billions of CFA francs)							
Total revenue and grants	313.9	272.6	411.8	385.6	413.5	207.6	413.5
Revenue	293.4	255.9	327.1	301.5	383.5	180.3	371.2
Tax revenue	247.1	220.2	281.0	267.9	340.7	162.2	322.8
Nontax revenue	46.3	35.7	46.1	33.6	42.8	18.1	48.4
Grants	20.5	16.7	84.7	84.1	30.0	27.3	42.3
Total expenditure and net lending	354.1	319.8	428.0	424.8	450.1	204.1	434.9
Current expenditure	282.0	249.5	318.9	318.6	328.6	150.1	317.4
Wages and salaries	138.5 1/	132.3	149.0	148.8	160.0	80.0	157.5
Interest due	32.0	34.7	75.2	71.5	76.5	35.7	69.9
Of which: external 2/	(26.6)	(28.1)	(58.6)	(58.3)	(61.6)	(28.5)	(58.9)
Other current expenditure	111.5	82.5	94.7	98.3	92.1	34.4	90.0
Of which: social safety net	(--)	(--)	(15.0)	(14.6)	(10.0)	(5.0)	(10.0)
Capital expenditure	82.6	64.9	107.0	100.2	121.5	52.5	116.0
Budgetary	46.6	27.9	33.0	26.2	39.5	13.5	34.0
Extrabudgetary	36.0	37.0	74.0	74.0	82.0	39.0	82.0
Voluntary departure program	0.2	--	0.1	0.1	--	--	--
Treasury special accounts and correspondents net) 3/	10.7	-5.4	-2.0	-5.9	--	-1.5	-1.5
Overall fiscal balance (commitment basis)	-40.2	-47.2	-16.2	-39.2	-36.6	3.5	-21.4
Adjustment to cash basis	48.5	44.4	-206.2	-160.8	-15.0	-28.0	-60.4
Change in payments arrears	54.5	49.3	-206.2	-160.8	-15.0	-28.0	-60.4
Domestic arrears	27.1	12.0	-32.0	-32.1	-15.0	-10.0	-14.9
External arrears	27.4	37.3	-174.2	-128.7	--	-18.0	-45.5
Crop credit (repayment -)	-6.0	-4.9	--	--	--	--	--
Overall fiscal balance (cash basis)	8.3	-2.8	-222.4	-200.0	-51.6	-24.5	-81.8
Financing	-8.3	2.8	222.4	200.0	51.6	24.5	81.8
External financing	23.4	8.6	235.4	186.7	-22.7	32.4	36.8
Drawings	58.8	40.1	128.4	80.9	52.0	48.2	76.2
Treasury	14.9	0.1	64.1	18.9	--	24.2	24.2
Project loans	23.0	22.0	44.0	44.0	52.0	24.0	52.0
Other 4/	20.9	18.0	20.3	18.0	--	--	--
Amortization due 2/	-46.7	-41.4	-82.2	-83.1	-73.3	-34.4	-73.3
Debt relief 5/	11.3	9.9	169.6	169.3	18.2	21.5	39.7
Paris Club deferral	--	--	19.6	19.6	-19.6	-2.9	-5.8
Domestic financing	-31.7	-5.8	-13.0	13.1	-17.3	-7.9	-8.3
Banking system 6/	-27.3	-17.0	-4.6	1.0	-14.3	-0.2	--
Repayment of ONCAD and consolidated debt	-5.5	-6.9	--	--	--	--	--
Nonbank borrowing	1.9	9.1	--	13.2	--	-6.3	-6.3
Other	-0.3	9.0	-8.4	-0.9 7/	-3.0	-1.4	-2.0
Borrowed funds of correspondents	-0.5	--	--	--	--	--	--
Financing gap	--	--	--	--	91.6	--	53.3
(In percent of GDP)							
Total revenue and grants	19.5	17.2	18.2	17.9	16.2	8.6	17.0
Of which: revenue	(18.2)	(16.2)	(14.4)	(14.0)	(15.0)	(7.4)	(15.3)
tax revenue	(15.3)	(13.9)	(12.4)	(12.4)	(13.3)	(6.7)	(13.3)
Total expenditure and net lending	22.0	20.2	18.9	19.7	17.6	8.4	17.9
Of which: current expenditure	(17.5)	(15.7)	(14.1)	(14.8)	(12.8)	(6.2)	(13.1)
capital expenditure	(5.1)	(4.1)	(4.7)	(4.6)	(4.8)	(2.2)	(4.8)
Overall fiscal balance	-3.8	-4.0	-4.5	-5.7	-2.6	-1.0	-2.6
Commitment basis, excluding grants	-3.8	-4.0	-4.5	-5.7	-2.6	-1.0	-2.6
Cash basis, excluding grants	-0.8	-1.2	-13.6	-13.2	-3.2	-2.1	-5.1
Memorandum items:							
(In billions of CFA francs)							
Stock of domestic payments arrears (end of period data)	35.0	47.0	15.0	14.9	--	4.9	--
Gross domestic product	1,612.9	1,586.6	2,266.1	2,155.0	2,558.1	2,426.5	2,426.5

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Includes CFAF 4.6 billion in nonbudgeted back payments of wages and salaries.

2/ The external debt service figures include all debt directly contracted by the Government and the part of the government-guaranteed debt serviced by the Government. For the projections, the latter is assumed to be 30 percent.

3/ Deficits are added to expenditure, while surpluses are deducted. The Treasury's special accounts exclude net repayments in the Debt Amortization Fund, National Energy Fund, and investment expenditures relating to the Fifth and Sixth Plans, which are shown separately.

4/ Amounts shown for 1992-94 include the three tranches of a loan from the African Development Bank for the financing of small- and medium-scale enterprise development.

5/ Includes debt rescheduling from the Paris Club and other official bilateral creditors, debt cancellation granted by France in early 1994, and commercial bank debt restructuring of CFAF 22.7 billion requested in 1994.

6/ Includes counterparts of Fund purchases and repurchases as well as those of loans under the structural and enhanced structural adjustment facilities; and starting in 1994, also includes repayments of ONCAD and consolidated debt, and crop credit.

7/ Includes errors and omissions.

Table IV. Senegal: Government Revenue, 1992-95 ^{1/}

	1992	1993	1994		1995
			Prog.	Prel.	Proj.
<u>(In billions of CFA francs)</u>					
Total revenue	293.4	255.9	327.1	301.5	371.2
Tax revenue	247.1	220.2	281.0	267.9	322.8
Taxes on international trade	111.4	95.5	132.3	124.0	157.5
Taxes on goods and services	57.5	55.7	76.4	69.0	85.6
Taxes on income and profits	64.0	59.5	61.3	63.2	68.4
Other taxes	13.9	9.5	11.0	11.7	11.3
Nontax revenue	46.3	35.7	46.1	33.6	48.4
<u>(In percent of GDP)</u>					
Total revenue	18.2	16.1	14.4	14.0	15.3
Tax revenue	15.3	13.9	12.4	12.4	13.3
Taxes on international trade	6.9	6.0	5.8	5.8	6.5
Taxes on goods and services	3.6	3.5	3.4	3.2	3.5
Taxes on income and profits	4.0	3.8	2.7	2.9	2.8
Other taxes	0.9	0.6	0.5	0.5	0.5
Nontax revenue	2.9	2.2	2.0	1.6	2.0
<u>(In percent of imports, c.i.f.)</u>					
Taxes on international trade	30.9	26.9	19.9	19.1	22.9

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} Data may not add up because of rounding.

Table V. Senegal: Monetary Survey, 1992-95

	1992	1993		1994		1995	
		Act.	Rev. 1/	Prog.	Prel.	Prog.	Proj.
(In billions of CFA francs; end of period)							
Foreign assets (net)	-172.2	-202.9	-400.2	-326.0	-222.9	-265.0	-167.2
BCEAO	-154.0	-186.8	-365.1	-290.9	-233.5	-229.9	-177.8
Commercial banks	-18.2	-16.1	-35.1	-35.1	10.6	-35.1	10.6
Net domestic assets	575.4	557.9	655.0	712.3	632.9	734.6	669.2
Credit to the Government (net) 2/	290.2	264.9	362.0	357.4	317.3 3/	341.1	317.3
Central Bank	315.7	299.6	396.7	408.1	340.9	420.3	350.6
Commercial banks	-26.5	-35.4	-35.4	-51.4	-30.0	-79.9	-39.7
Other	1.0	0.7	0.7	0.7	6.4	0.7	6.4
Credit to the economy	230.3	243.1	243.1	305.0	270.5	343.6	306.8
Crop credits	20.4	7.6	7.6	9.5	12.7	15.6	16.0
Other credits	209.9	235.5	235.5	295.5	257.8	328.0	290.8
Other items (net)	54.9	49.9	49.9	49.9	45.1	49.9	45.1
Medium- and long-term foreign assets	-18.3	-18.5	-32.4	-32.4	-33.2	-32.4	-33.2
Revaluation account	--	--	114.1	91.6	91.6	91.6	91.6
Money supply (M2)	384.9	336.5	336.5	445.5	468.4	528.8	560.4
Currency outside banks	107.2	93.0	93.0	...	145.6	...	174.2
Deposits	277.7	243.5	243.5	...	322.8	...	386.2
<u>Memorandum items:</u>							
Bank reserves	58.9	26.3	26.3	...	20.3	...	57.1
Claims of the Central Bank on commercial banks	38.7	25.3	25.3	...	11.5	...	11.5
(Annual change in percent of beginning-of-period money stock)							
Foreign assets (net)	3.2	-8.0		22.1	52.7	13.7	11.9
BCEAO	1.5	-8.5		22.1	39.1	13.7	11.9
Commercial banks	1.7	0.5		--	13.6	--	--
Net domestic assets	0.6	-4.5		17.0	-6.6	5.0	7.7
Credit to the Government (net) 2/	-8.2	-6.6		-1.4	-13.3 3/	-3.7	--
Central Bank	-2.4	-4.2		3.4	-16.6	2.7	2.1
Commercial banks	-5.8	-2.3		-4.8	1.6	-6.4	-2.1
Other	0.1	-0.1		--	1.7	--	--
Credit to the economy	10.9	3.3		18.4	8.1	8.7	7.7
Crop credits	3.6	-3.3		0.6	1.5	1.4	0.7
Other credits	7.3	6.7		17.8	6.6	7.3	7.0
Other items (net)	-2.0	-1.3		--	-1.4	--	--
Money supply (M2)	3.6	-12.6		32.4	39.2	18.7	19.6

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Accounts revalued at the new exchange rate of CFAF 100 per French franc.

2/ Starting in December 1991, restructured debt of commercial banks and ONCAD has been reclassified as part of credit to the Government.

3/ Not including securities held by local nonbank investors and by investors from other WAEMU countries.

Table VI. Senegal: Balance of Payments, 1992-99
(In billions of CFA francs, unless otherwise indicated)

	1992	1993	1994		1995		1996	1997	1998	1999
			Prog.	Prel.	Prog.	Proj.		Projections		
Trade balance	-98.4	-108.4	-141.1	-129.3	-124.2	-126.5	-124.0	-117.0	-117.4	-119.1
Exports, f.o.b.	219.2	203.5	444.2	440.7	502.7	479.2	517.7	567.8	618.3	670.7
Of which: groundnut products	(17.3)	(13.4)	(49.1)	(55.5)	(43.9)	(46.8)	(40.1)	(43.9)	(47.5)	(51.2)
Imports, f.o.b.	-317.6	-311.9	-585.3	-570.0	-626.9	-605.7	-641.7	-684.8	-735.7	-789.8
Of which: petroleum products	(-35.0)	(-30.9)	(-53.9)	(-69.4)	(-63.2)	(-74.5)	(-78.0)	(-82.8)	(-87.8)	(-93.2)
Services (net)	-57.3	-56.4	-86.1	-79.0	-82.6	-70.8	-74.7	-76.6	-75.6	-77.5
Credits	163.7	166.6	339.0	339.0	355.3	355.2	365.9	376.9	388.2	399.8
Debits	-221.0	-223.0	-425.1	-418.0	-437.8	-426.1	-440.6	-453.5	-463.7	-477.3
Of which: interest due on public debt ^{1/}	(-38.0)	(-38.7)	(-69.7)	(-69.7)	(-71.5)	(-67.7)	(69.7)	(-68.9)	(-63.6)	(-60.8)
Unrequited transfers (net)	83.8	79.3	203.9	213.4	153.0	168.0	158.4	162.9	167.6	172.4
Private (net)	9.7	11.4	24.0	29.0	25.7	28.4	27.5	28.3	29.2	30.1
Public (net)	74.1	67.9	179.9	184.4	127.3	139.6	130.9	134.6	138.4	142.3
Of which: gross official transfers	(83.1)	(76.9)	(197.9)	(202.4)	(145.7)	(158.0)	(149.7)	(153.7)	(157.9)	(162.2)
Current account balance (deficit -)	-71.9	-85.5	-23.3	5.0	-53.9	-29.3	-40.3	-30.7	-25.4	-24.2
Current account (excluding gross official transfers)	-155.0	-162.4	-221.2	-197.4	-199.5	-187.3	-190.0	-184.4	-183.3	-186.4
Capital account	37.4	6.6	82.4	66.4	24.7	43.3	22.0	24.8	31.1	28.8
Public sector (net)	37.1	23.3	77.4	35.0	14.1	28.3	6.0	7.8	12.1	7.8
Drawings	78.9	64.3	162.9	120.5	90.0	104.2	80.0	80.0	80.0	80.0
Amortization due ^{1/}	-41.7	-41.0	-85.5	-85.5	-75.9	-75.9	-74.0	-72.2	-67.9	-72.2
Other capital	0.3	-16.7	5.0	31.4	10.6	15.0	16.0	17.0	19.0	21.0
Deposit money banks	-5.3	-1.9	--	-45.7	--	--	--	--	--	--
Other ^{2/}	5.6	-14.8	5.0	77.1	10.6	15.0	16.0	17.0	19.0	21.0
Overall balance (deficit -)	-34.5	-78.9	59.1	71.4	-29.2	14.0	-18.3	-5.9	5.7	4.7
Debt rescheduling ^{3/}	12.5	9.9	154.0	153.6	8.7	30.2	27.9	16.2	--	--
Paris Club deferral	--	--	19.6	19.6	-19.6	-5.8	-7.3	-8.8	--	--
Debt relief from debt cancellation ^{4/}	--	--	15.7	15.7	9.5	9.5	8.5	8.2	7.9	7.5
Financing	22.0	69.0	-248.4	-260.3	-61.0	-101.2	-50.3	-23.2	-13.6	-12.2
Net foreign assets (BCEAO)	-5.4	31.7	-74.2	-131.6	-61.0	-55.7	-50.3	-23.2	-13.6	-12.2
Operations account and other	6.3	39.4	-96.6	-153.8	-83.5	-77.5	-58.9	-1.1	22.2	7.3
Net use of Fund resources	-11.7	-7.7	22.4	22.2	22.5	21.8	8.6	-22.1	-35.8	-19.5
Drawings	--	--	38.5	38.1	44.2	42.8	32.8	14.2	--	--
Repayments	-11.7	-7.7	-16.2	-15.9	-21.6	-21.0	-24.1	-36.3	-35.8	-19.5
Payments arrears (reduction -)	27.4	37.3	-174.2	-128.7	--	-45.5	--	--	--	--
Financing gap	--	--	--	--	91.6	53.3	39.5	13.5	--	--
<u>Memorandum items:</u>										
Current account (in percent of GDP)										
Including gross official transfers	-4.5	-5.4	-1.0	0.2	-2.1	-1.2	-1.5	-1.1	-0.9	-0.8
Excluding gross official transfers	-9.6	-10.2	-9.8	-9.2	-7.8	-7.7	-7.3	-6.6	-6.2	-5.9
Exchange rate (CFAF/SDR)	372.8	395.4	809.8	795.0	807.3	782.0	787.8	796.2	806.5	815.7

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} After debt forgiveness obtained through 1993.

^{2/} Including private capital, revaluation of BCEAO assets through 1993, and errors and omissions.

^{3/} Including debt rescheduling from the Paris Club and other official bilateral creditors, and commercial bank debt rescheduling of CFAF 22.7 billion requested in 1994.

^{4/} Based on the debt cancellation of CFAF 143.1 billion granted by France in early 1994.

Table VII. Senegal: Balance of Payments, 1992-99

(In millions of SDRs, unless otherwise indicated)

	1992	1993	1994		1995		1996	1997	1998	1999
			Prog.	Prel.	Prog.	Proj.		Projections		
Trade balance	-264.0	-274.2	-174.2	-162.7	-153.9	-161.7	-157.4	-146.9	-145.5	-146.0
Exports, f.o.b.	587.9	514.7	548.5	554.3	622.7	612.8	617.1	713.1	766.6	822.3
Of which: groundnut products	(46.5)	(33.8)	(60.7)	(69.9)	(54.4)	(59.9)	(50.9)	(55.2)	(58.9)	(62.7)
Imports, f.o.b.	-852.0	-789.0	-722.7	-716.9	-776.6	-774.5	-814.5	-860.0	-912.1	-968.2
Of which: petroleum products	(-93.8)	(-78.1)	(-66.6)	(-87.3)	(-78.2)	(-95.2)	(-99.0)	(-104.0)	(-108.9)	(-114.3)
Services (net)	-153.6	-142.6	-106.4	-99.4	-102.3	-90.6	-94.9	-96.3	-93.7	-95.0
Credits	439.1	421.4	418.6	426.4	440.0	454.2	464.4	473.0	481.3	490.8
Debits	-592.7	-563.9	-525.0	-525.8	-542.4	-544.8	-559.3	-569.6	-575.0	-585.1
Of which: interest due on public debt ^{1/}	(-102.0)	(-97.9)	(-86.1)	(-87.7)	(-88.5)	(-86.6)	(-88.5)	(-86.5)	(-78.9)	(-74.5)
Unrequited transfers (net)	224.8	200.6	251.8	268.4	189.5	214.9	201.1	204.6	207.8	211.3
Private (net)	26.0	28.8	29.6	36.4	31.8	36.3	34.9	35.6	36.2	36.9
Public (net)	198.8	171.7	222.2	231.9	157.7	178.6	166.2	169.0	171.6	174.5
Of which: gross official transfers	(222.9)	(194.5)	(244.4)	(254.6)	(180.4)	(202.0)	(190.0)	(193.1)	(195.8)	(198.9)
Current account balance (deficit -)	-192.8	-216.2	-28.8	6.3	-66.7	-37.5	-51.2	-38.5	-31.5	-29.6
Current account (excluding gross official transfers)	-415.7	-410.7	-273.2	-248.3	-247.2	-239.5	-241.2	-231.6	-227.3	-228.5
Capital account	100.3	16.7	101.8	83.5	30.6	55.4	28.0	31.1	38.5	35.3
Public sector (net)	99.5	59.0	95.6	44.1	17.5	36.2	7.7	9.8	15.0	9.6
Drawings	211.5	162.6	201.2	151.6	111.5	133.2	101.6	100.5	99.2	98.1
Amortization due ^{1/}	-112.0	-103.7	-105.5	-107.5	-94.0	-97.0	-93.9	-90.7	-84.2	-88.5
Other capital	0.7	-42.2	6.2	39.4	13.1	19.2	20.3	21.4	23.6	25.7
Deposit money banks	-14.2	-4.8	--	-57.5	--	--	--	--	--	--
Other ^{2/}	15.0	-37.4	6.2	96.9	13.1	19.2	20.3	21.4	23.6	25.7
Overall balance (deficit -)	-92.5	-199.5	73.0	89.8	-36.2	17.9	-23.2	-7.4	7.0	5.7
Debt rescheduling ^{3/}	33.6	25.0	190.2	193.2	10.7	38.6	35.4	20.4	--	--
Paris Club deferral	--	--	24.2	24.6	-24.2	-7.4	-9.3	-11.1	--	--
Debt relief from debt cancellation ^{4/}	--	--	19.4	19.7	11.8	12.1	10.8	10.3	9.8	9.2
Financing	58.9	174.5	-306.8	-327.4	-75.6	-129.4	-63.8	-29.1	-16.8	-14.9
Net foreign assets (BCEAO)	-14.6	80.1	-91.7	-165.5	-75.6	-71.2	-63.8	-29.1	-16.8	-14.9
Operations account and other	16.9	99.7	-119.3	-193.5	-103.4	-99.1	-74.8	-1.3	27.6	9.0
Net use of Fund resources	-31.5	-19.5	27.6	28.0	27.9	27.9	11.0	-27.8	-44.4	-23.9
Drawings	--	--	47.6	47.9	54.7	54.7	41.6	17.8	--	--
Repayments	-31.5	-19.5	-19.9	-19.9	-26.8	-26.8	-30.6	-45.6	-44.4	-23.9
Payments arrears (reduction -)	73.5	94.4	-215.1	-161.9	--	-58.2	--	--	--	--
Financing gap	--	--	--	--	113.5	68.2	50.1	17.0	--	--
Memorandum items:										
Current account (in percent of GDP)										
Including gross official transfers	-4.5	-5.4	-1.0	0.2	-2.1	-1.2	-1.5	-1.1	-0.9	-0.8
Excluding gross official transfers	-9.6	-10.2	-9.8	-9.2	-7.8	-7.7	-7.3	-6.6	-6.2	-5.9
Exchange rate (CFAF/SDR)	372.8	395.4	809.8	795.0	807.3	782.0	787.8	796.2	806.5	815.7

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} After debt forgiveness obtained through 1993.

^{2/} Including private capital, revaluation of BCEAO assets through 1993, and errors and omissions.

^{3/} Including debt rescheduling from the Paris Club and other official bilateral creditors, and commercial bank debt rescheduling of SDR 28.0 million requested in 1994.

^{4/} Based on the debt cancellation of SDR 176.7 million granted by France in early 1994.

Table VIII. Senegal: External Debt and Scheduled Debt Service, 1994-97 ^{1/}

(In billions of CFA francs)

	End-1994		1995			1996			1997		
	Debt out- standing ^{2/}	Of which: arrears ^{3/}	Prin.	Int.	Total	Prin.	Int.	Total	Prin.	Int.	Total
Public sector external debt	1,728.6	45.5	96.9	67.7	164.6	98.1	69.7	167.8	108.5	68.9	177.4
Debt outstanding as of end-1994	1,728.6	45.5	96.9	57.1	154.0	98.1	53.1	151.2	108.5	46.6	155.1
Medium- and long-term debt	1,700.9	45.5	96.9	50.7	147.6	98.1	47.2	145.3	108.5	41.5	150.0
Multilateral creditors	1,025.7	12.3	53.8	24.0	77.8	57.0	22.8	79.8	69.6	19.3	88.9
of which: IMF	160.3	--	21.0	3.0	24.0	24.1	3.2	27.3	36.3	3.2	39.5
Paris Club post-cutoff-date debt	143.3	4.8	10.5	5.6	16.2	9.0	5.2	14.2	10.1	4.8	14.9
Paris Club pre-cutoff-date debt	266.2	--	15.6	16.7	32.3	14.1	15.3	29.4	10.9	14.1	25.0
Pre-cutoff date debt not previously rescheduled	...	--	3.5	0.8	4.3	2.0	0.4	2.5	1.0	0.3	1.3
Previously rescheduled debt on nonconcessional terms	...	--	12.1	4.1	16.2	12.1	3.0	15.1	7.6	2.0	9.6
Previously rescheduled debt on concessional terms	...	--	--	11.8	11.8	--	11.8	11.8	2.3	11.8	14.1
Other official bilateral creditors	217.8	24.8	14.2	3.4	17.6	14.9	3.1	18.0	14.7	2.6	17.4
Private creditors	47.9	3.6 ^{6/}	2.8	1.0	3.8	3.0	0.8	3.8	3.2	0.6	3.8
Short-term debt	27.7	--	--	6.4	6.4	--	5.9	5.9	--	5.1	5.1
Debt service on new financing ^{4/}	--	--	--	2.4	2.4	--	3.8	3.8	--	4.5	4.5
Multilateral creditors	--	--	--	0.7	0.7	--	1.1	1.1	--	1.5	1.5
Paris Club creditors	--	--	--	1.7	1.7	--	2.7	2.7	--	3.0	3.0
Other official bilateral creditors	--	--	--	--	--	--	--	--	--	--	--
Private creditors	--	--	--	--	--	--	--	--	--	--	--
Debt service on gap financing ^{5/}	--	--	--	8.2	8.2	--	12.8	12.8	--	17.8	17.8
Private sector external debt	...	...	...	...	...	...	...	...	...	...	...

Source: Data provided by the Senegalese authorities; and staff estimates and projections.

^{1/} Scheduled debt service is before ODA debt cancellation granted by France in 1994.^{2/} Includes both principal and interest arrears.^{3/} Includes late interest accrued as of end-1994.^{4/} Includes debt service on disbursements after January 1, 1995, excluding gap financing.^{5/} Includes debt service on expected exceptional financing.^{6/} Not including arrears on commercial debt under consideration for debt buyback operation.

Table IX. Senegal: Indicators of Fund Credit and Debt Servicing, 1994-2007

(In percent)

	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
	Program				Projections									
Outstanding Fund credit/Quota <u>1/</u>	172.8	196.2	205.5	182.1	144.7	124.7	110.3	90.6	70.1	48.1	26.1	9.5	1.5	--
Outstanding Fund credit/GDP <u>1/</u>	7.6	7.5	7.4	6.2	4.7	3.9	3.3	2.5	1.8	1.1	0.6	0.2	--	--
Outstanding Fund credit <u>2/</u>	19.5	20.4	20.4	17.2	13.0	10.7	9.0	7.0	5.2	3.4	1.8	0.6	0.1	--
Gross Fund financing/Financing needs <u>3/</u>	10.4	18.3	19.2	13.6	--	--	--	--	--	--	--	--	--	--
Debt service to the Fund <u>2/</u>	2.3	2.7	2.9	3.9	3.6	1.9	1.3	1.7	1.6	1.6	1.5	1.1	0.5	0.1
Debt service to the Fund/Total debt service	10.4	13.6	15.2	20.8	21.1	12.7	9.7	12.0	13.1	13.2	12.7	9.4	4.2	0.7
Total debt service ratio before rescheduling <u>2/ 4/</u>	18.9	17.7	17.2	17.1	15.2	13.0	12.7	12.7	12.3	12.3	12.3	12.0	11.9	11.9
Debt rescheduling <u>2/</u>	6.3	3.4	3.0	1.6	--	--	--	--	--	--	--	--	--	--
Total debt service ratio after rescheduling <u>2/ 4/</u>	12.6	14.3	14.2	15.5	15.2	13.0	12.7	12.7	12.3	12.3	12.3	12.0	11.9	11.9
<u>Memorandum items:</u>														
Exports of goods, services, and gross private transfers (in millions of SDRs)	1,054	1,141	1,195	1,261	1,324	1,390	1,460	1,533	1,609	1,690	1,774	1,863	1,956	2,054

Sources: IMF, Treasurer's Department; data provided by the Senegalese authorities; and staff estimates and projections.

1/ Outstanding Fund credit includes SAF/ESAF loans and outstanding purchases.2/ In percent of exports of goods, services, and gross private transfers.3/ Financing needs are defined to include current account deficit, amortization due, repurchases and repayments to the Fund, planned improvements in reserves, and reduction in external arrears.4/ Total debt service is after ODA debt cancellation granted by France in 1994.

Table X. Senegal - Selected Social and Demographic Indicators

<u>Area</u>		<u>Gross domestic product</u>	
Total	196,720 sq. km.	Per capita (1994)	US\$478
Agricultural	28.3 percent of total		
<u>Population (1992)</u>		<u>Population density</u>	
7.8 million		137 per sq. km. of agricultural land	
Rate of growth: 2.8 percent per annum			
<u>Population characteristics</u>		<u>Health</u>	
Crude birth rate (per thousand)	45.4	Population per physician (in thousands)	17.60
Crude death rate (per thousand)	16.5	Population per hospital bed (in thousands)	1.39
Life expectancy at birth (years)	49.0	Infant mortality rate (per thousand live births)	68.0
Urban population (percent of total)	40.8		
<u>Access to safe water</u>			
In percent of population			
Total	55		
Urban	79		
Rural	38		
<u>Nutrition</u>		<u>Education</u>	
Per capita supply of		Enrollment rates (in percent)	
Calories (per day)	2,369	Primary	59
Proteins (grams per day)	65	Secondary	16
		Pupil-teacher ratio	
		Primary	58
		Secondary	35

Source: Social Indicators of Development, 1991-92 (World Bank).

TRANSLATION

Dakar, March 24, 1995

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Mr. Camdessus:

1. The Executive Board of the International Monetary Fund approved on August 29, 1994 a three-year arrangement for Senegal under the enhanced structural adjustment facility (ESAF) and the first annual arrangement thereunder. In accordance with that arrangement, we held discussions with an IMF mission regarding the midterm review of Senegal's first annual economic and financial adjustment program covering the period July 1994-June 1995. The discussions focused primarily on the progress made under the program during the second half of 1994 and on the prospects and measures envisaged for the first half of 1995, in accordance with the medium-term objectives set forth in the medium-term economic and financial policy framework paper (PFP) of July 1, 1994. We reached understandings on the economic and financial policies to be implemented and the economic objectives for 1995. The Government of Senegal remains committed to the implementation of the economic and financial policies described in this memorandum, which supplements the memorandum of July 1, 1994.

2. Progress made during the second half of 1994 and results for 1994.
Faced with the economic and financial difficulties confronting Senegal, the Government decided in early 1994 to adopt a comprehensive and strengthened medium-term adjustment strategy, aimed at improving the competitiveness of the economy and strengthening the conditions appropriate to re-establish sustained economic growth and to ensure the return to financial viability over the medium term. This strategy, formulated in a context of enhanced regional integration and cooperation, has three essential components: the 50 percent devaluation of the CFA franc in January 1994; the restrained accompanying fiscal and monetary policies; and the acceleration of structural reforms aimed at private sector development and promoting growth. Within the framework of this strategy, the Government has implemented an adjustment program for 1994 that was supported initially by a stand-by arrangement from the IMF, which was replaced in August 1994 by an arrangement under the ESAF. The main macroeconomic objectives for 1994 were to raise the real GDP growth rate to 2.4 percent; to limit inflation, as measured by the GDP deflator, to 35.4 percent; and to contain the external current account deficit, excluding official transfers, at 9.8 percent of GDP.

3. The results achieved in 1994 were generally encouraging, but some difficulties have arisen, notably concerning government revenue collection and delays in the disbursements of external budgetary assistance. The macroeconomic objectives of the program for 1994 were largely achieved. Real GDP growth, estimated at around 2 percent in 1994, was close to target. Inflation, as measured by the GDP deflator, was 33 percent, below projections, while the average increase in the consumer price index for Dakar was contained at 32 percent, instead of the projected rate of 39 percent. In the external sector, the real effective exchange rate (calculated on the basis of relative consumer prices) declined by some 35 percent and the competitiveness of the economy improved considerably. There was a significant pickup in tourism and exports of groundnuts and fish products, in particular, and a sizable reflow of private capital was recorded. In addition, a shift of consumption toward domestically produced products was reflected in a drop in the volume of imports. As a result, the external current account deficit (excluding official transfers), estimated at 9.2 percent of GDP in 1994, was below the programmed level.

4. However, during the last months of the year, the Government again encountered difficulties in revenue collection. Furthermore, disbursements of external budgetary assistance fell CFAF 46 billion short of the projected amount, owing largely to delays in the negotiations with the World Bank on the private sector competitiveness (PASCO) and the agricultural sector adjustment (PASA) credits. As a consequence, the overall results under the program were mixed. As indicated in the attached table, all the performance criteria and the quantitative and structural benchmarks for end-September and end-December 1994 under the ESAF arrangement were observed, with the exception of those related to the elimination and nonaccumulation of external payments arrears and to total government revenue.

5. In the fiscal area, in 1994 the Government implemented a number of measures aimed at broadening the tax base and improving revenue collection, while strictly controlling expenditure, in order to contain the deficit of the central government financial operations, on a commitment basis and excluding grants, at 4.5 percent of GDP. Throughout 1994, a very restrained spending stance was maintained, particularly on wages. The average increase in wages, which became effective in April 1994, was limited to 10 percent, as programmed, and the benchmark on the wage bill was observed. Other current spending has been broadly as projected; the CFAF 15 billion budget allocation for social safety net measures was almost entirely utilized. In contrast, the deficit of the special accounts was larger than projected, primarily because of the National Retirement Fund (FNR). Investment expenditure was slightly lower than projected. Government receipts for the year as a whole fell short of the programmed amount by close to CFAF 26 billion (1 percent of GDP). This shortfall was largely due to organizational weaknesses of the tax and customs administration, tax fraud, particularly at customs, as well as delays in the receipt of funds from fishing agreements. The overall fiscal deficit, on a commitment basis and excluding grants, thus reached 5.7 percent of GDP, exceeding the program target by about 1 percentage point. Verified domestic payments arrears were reduced in conformity with the performance criterion, but the external

payments arrears could not be eliminated as programmed and amounted to CFAF 45.5 billion at end-1994.

6. In the monetary area, credit policy was designed and coordinated within the broader context of the West African Economic and Monetary Union (WAEMU). Following the devaluation, the Central Bank's discount rate was raised on January 18, 1994 by 4 percentage points to 14.5 percent; subsequently, the moderation of inflation allowed a reduction of this rate in four steps, to 9 percent on January 23, 1995. Starting in August 1994, the monetary authorities also proceeded with the securitization of the consolidated debt assumed by the Government in the context of the restructuring of the Senegalese banking system; these securities were purchased by local investors as well as by investors from other WAEMU countries. The money stock grew by 39 percent, more than projected, reflecting a strengthening of money demand and a return of confidence. All the benchmarks and performance criteria with respect to net credit to the Government and the net domestic assets of the banking system at end-September and end-December 1994 were observed. Credit to the economy rose moderately in the second half of the year, in line with the pickup in economic activity, but remained well below what was envisaged under the program. The contribution of Senegal to the net foreign assets position of the Central Bank of West African States (BCEAO) improved much more strongly than foreseen.

7. Several structural measures included in the 1994 program were implemented. Labor legislation was made more flexible: the monopoly of the Office of Port Personnel was abolished in July 1994 and the labor code was revised in November 1994, ahead of schedule, to allow enterprises to freely adjust their work force according to their level of economic activity. The lifting of price controls proceeded as planned, with the liberalization in June 1994 of the prices of six commodities (soap, milk, iron bars, soft drinks, instant coffee, and yeast) which had been frozen since the devaluation. Subsequently, in December 1994, the Government also liberalized the prices of six additional commodities (fresh tomatoes, tomato concentrate, cement, sugar, vegetable oil, and groundnut oil), which had previously been administered or subject to the approval system (homologation). For some of these products, the prior authorizations for their import were eliminated following the renegotiation of the special agreements (conventions spéciales). The remaining prior authorizations for exports and imports have been eliminated, except those required for public health and security reasons, for the import of second-hand clothing and gold and silver bars, as well as for the export of precious metals and minerals. The renegotiation of general special agreements and protocols (protocoles d'accord) between the Government and a number of companies was carried out

as planned. 1/ Various reforms aimed at improving efficiency and encouraging diversification in the agricultural sector, including the rice and cotton sectors, have been implemented. All the measures planned in 1994 relating to the disengagement of the Caisse de péréquation et de stabilisation des prix (CPSP) from the rice sector were implemented. The restructuring of the Société de développement des fibres textiles (SODEFITEX) is being carried out in the context of its March 1992 plan aimed at reducing its costs. The restructuring of other public enterprises is being carried out as planned. However, there have been some delays in the implementation of other structural measures. In particular, the offering for sale of the groundnut marketing enterprise (SONACOS) was delayed, in consultation with the donors concerned, even though a law authorizing its privatization was passed; the call for bids was postponed to May 1995. Moreover, the signing of a new performance contract for the Senegalese electricity company (SENELEC) planned for January 1995 was postponed to a later date in order to take into account the conclusions of a study on the reorganization and reduction of costs of the company, which began in March 1995. Finally, the civil service audit, planned to be completed before end-1994, will only begin in April 1995 in light of delays encountered in the preparation of the terms of reference and the mobilization of external resources to finance the audit.

8. Program for 1995. In light of the developments in 1994, the Government is determined to pursue resolutely its macroeconomic and structural reform policies described in the PFP, and to take the necessary measures to achieve the medium-term objectives set out in that document. The 1995 objectives for growth and inflation are overall the same as those stipulated in the memorandum of July 1, 1994, aiming to raise real GDP growth to close to 4.7 percent, and reduce inflation, as measured by the GDP deflator, to 7.8 percent. As for the external current account deficit, excluding official transfers, the objective is to reduce it from 9.2 percent of GDP in 1994 to 7.7 percent in 1995, slightly below the initially programmed level. With the competitiveness of the economy restored, export receipts are expected to benefit in 1995 from the continued increase in export volumes of groundnuts and fish products, as well as from an increase in nontraditional exports such as horticultural products. This buoyancy of exports, as well as of tourism, should more than compensate for the recovery of imports that

1/ The special agreements for SOCOCIM (Société de commercialisation du ciment), ICOTAF (Industrie cotonnière africaine), SENSAC (Sénégalaise du sac), and SOTEXKA (Société des textiles de Kaolack), as well as the protocol of SOCOSAC (Société de commercialisation du sac) were eliminated before end-1994. The special agreement for CSS (Compagnie sucrière sénégalaise) was modified in order to liberalize the import and production of sugar. The special agreements for ICS (Industries chimiques du Sénégal) and SODIFITEX (Société pour le développement des fibres textiles) will be renegotiated following the revision currently being carried out of the law on points francs, and that of SAR (Société africaine de raffinage) will be renegotiated in the context of the restructuring of the energy sector, under discussion with the World Bank.

is expected as economic growth gathers steam. The balance of payments position in 1995 should also improve thanks to significant amounts of external financing associated with the implementation of development projects, support for structural reforms, and budgetary assistance. After covering the financing requirements, the external capital inflows should allow for a further strengthening of Senegal's net foreign assets position.

9. With regard to the strengthening of the public finance situation, the Government has begun to implement the necessary measures to ensure an improved revenue collection and contain expenditure. The 1995 budget, which was approved by Parliament last December, aims at reducing the fiscal deficit, on a commitment basis and excluding grants, to 2.6 percent of GDP, in line with the medium-term program. At the end of 1994, the stock of verified domestic payments arrears amounted to CFAF 14.9 billion, and the stock of external payments arrears to CFAF 45.5 billion. The projected budget deficit, as well as the elimination of these arrears by end-1995, will result, after taking into account disbursements of external budgetary assistance already provided during the first quarter (CFAF 21 billion), in an additional financing need of CFAF 104 billion for the year as a whole. At present, external budgetary assistance of about CFAF 68 billion has already been identified, including debt relief, leaving an uncovered financing gap of some CFAF 36 billion. For the remaining part of the first six months of 1995 (corresponding to the second half of the first annual ESAF program), external budgetary assistance of CFAF 31 billion has been identified. This will fully cover the projected financing gap for that period, allowing for a reduction in domestic payments arrears of CFAF 10 billion, as originally programmed, and a reduction of CFAF 18 billion in outstanding external payments arrears by end-June 1995. The Government of Senegal is actively seeking additional external financing for the second half of the year to ensure that the financing gap for 1995 as a whole will be fully covered. Senegal benefits from debt rescheduling with the Paris Club until end-March 1995, and has requested from the Paris Club a multiyear rescheduling agreement for the rest of the period covered by the ESAF arrangement. Senegal would also seek comparable terms for debt relief from other non-Paris Club creditors. Progress has also been made in the IDA-supported commercial debt reduction operation, which is expected to be completed in the next few months.

10. The Government recognizes that considerable efforts will be required to mobilize government receipts and to improve tax collection on a durable basis. After the unfavorable results of the previous year, total revenue in 1995 should increase by 23 percent, to reach CFAF 371.2 billion. To that end, the Government has already adopted several measures within the context of the 1995 budget and has decided to take additional measures, designed to expand the tax base and significantly reduce fiscal fraud. These measures aim in particular at reducing tax exemptions, broadening the value-added tax (VAT) base, and strengthening the customs and tax administrations. For the customs administration, the reorganization of the Direction Générale will be completed before April 15, 1995 on the basis of the new organization chart. In particular, regional directorates will be set up and staff will be redeployed to borders where control will be more strict. In addition,

hierarchical control of customs operations will be strengthened, sufficient appropriations in personnel and materials for the unit in charge of customs investigations will be effected, and the computerized information system (GAINDE) will be improved and extended. In addition, the import verification program implemented with the help of an import verification agency will be reinforced; the notional bonded warehousing will be eliminated as public bonded warehouses are created. Finally, the fines and penalties in case of customs fraud will continue to be strictly applied and judicial procedures will be accelerated. Regarding the tax administration, a single registration system for enterprises will be initiated in April 1995, in order to allow the updating of taxpayers files. Moreover, a system of periodic and systematic controls of tax returns of companies subject to the VAT, and of customs declarations will be put in place by the tax and customs directorates. An information campaign will also be launched to promote tax compliance.

11. On the expenditure side, a very prudent policy will be pursued, particularly as regards the wage bill and nonpriority spending, while providing adequately for basic health and education services. In 1995, total expenditure will only increase by about 2 percent, to reach CFAF 434.9 billion. To keep the wage bill within the originally programmed ceiling of CFAF 160 billion, the adopted budget foresees no general wage increase in 1995. No such increase will be granted and recruitment will be strictly limited, giving priority to the health and education sectors. Moreover, the costs of regularizing the verified rappels (corresponding to the financial impact of promotions for which payment orders have not yet been issued) will be included within the above-mentioned wage bill. The increase in the wage bill in 1995 should, therefore, be held to about 6 percent, reflecting the full-year impact of the 10 percent pay raise of last April, normal promotions, and the limited recruitment. The civil service audit will be initiated in April 1995 and the recommended measures will be put in place beginning in July 1995. Expenditure planned in the context of the social safety net (CFAF 10 billion) will be maintained, but will be integrated within the Government's social programs, and social spending will be targeted more effectively, in line with the recommendations of a recent IMF technical assistance mission. Any additional expenditure made necessary by the recent change in the Government will be compensated by reductions in other areas. The deficit of the special accounts will be substantially reduced by taking the measures required to balance the operations of the National Retirement Fund (FNR) from June 1995. The program for 1995 foresees that capital expenditure will amount to CFAF 116 billion, with priority given to infrastructure and high-return projects in the productive sectors. The necessary instructions have been given to ensure that no extrabudgetary expenditures are made, and this will be respected by all ministries. Before end-September 1995, a study on the expenditure system, as well as on the procedure for commitment and payment, will be completed, and the necessary measures will be implemented in the context of the 1996 budget.

12. The authorities will pursue a cautious credit policy in 1995, in line with the balance of payments objectives. The rate of growth of broad money

should decelerate to less than 20 percent in 1995. The expected improvement in the fiscal position should allow net credit to the Government to remain unchanged from its level of December 1994, which will make room for adequate provision of credit to the private sector without causing the growth of the net domestic assets of the banking system to exceed 8 percent of the beginning-of-period money stock in 1995. Monetary policy will continue to be based on the use of indirect instruments introduced by the BCEAO since October 1993, in particular a flexible interest rate policy, reserve requirement ratios, and the expansion of the role of the money market. Monetary policy, within the WAEMU, will aim at maintaining positive real interest rates, to encourage savings and ensure sound credit allocation. Furthermore, the rehabilitation of the banking system will be continued: the agricultural bank (Caisse nationale de crédit agricole du Sénégal) will be recapitalized in 1995, and the establishment of local savings and loan banks will be encouraged. Finally, the monetary authorities have taken notice of some of the shortcomings of the securitization scheme for consolidated public debt launched in 1994 (the fixed interest rate, and the tax exemption), and will seek, in collaboration with the other WAEMU members, to promote the expansion and development of a full-fledged securities market.

13. A cautious external debt management policy will be pursued during 1995. In this regard, the Government will neither contract nor guarantee any external nonconcessional loans with maturities of less than 1 year, or between 1 and 15 years, with the exception of debt rescheduling or refinancing agreements and normal short-term import credits. The Government will not accumulate any new external payments arrears; all external payments arrears will be settled before end-December 1995.

14. As regards structural measures, the relaxation of the regulatory environment will be continued, in order to create an enabling environment for the diversification of industrial production and the creation of small and medium-sized enterprises. The second phase of the price and trade liberalization program will be implemented; this envisages in particular the elimination of administered wholesale prices for rice by June 1995, and the liberalization of wheat flour imports and prices by November 1995. By April 15, 1995, the transport subsidy of the CPSP will be abolished in all regions, and CPSP will abandon its activities in the distribution of imported rice and close down its regional stores; its stores in Dakar will be closed by June 1995 at the latest. CPSP's withdrawal from all rice import activity will become effective by February 1996 at the latest, and the importation of broken rice will continue to be gradually taken over by the private sector. Furthermore, the offering for sale of SONACOS will be launched in May 1995. The reform of the public enterprise sector will also be accelerated. The law allowing for the separation of the water company (SONEES) in a public and a private entity was approved by the National Assembly on March 24. Before end-June 1995, the Government will take the necessary actions to finalize the privatization of two enterprises (SSPT and SPHU-Teranga) and SS-Saly will be liquidated. The restructuring of the electricity company (SENELEC) will be pursued. Finally, before end-December 1995 the Government will adopt, in consultation with the World Bank, a

three-year public investment program for 1996-98, giving priority to infrastructure and high-yielding projects in the directly productive sectors.

15. The Government of Senegal believes that the policies and measures set forth in this memorandum, which supplements the memorandum of July 1, 1994, are adequate to achieve the program objectives for 1995. It will take any additional measures that may become necessary to achieve these objectives. Finally, given that appropriate measures have been taken to strengthen revenue collection and to make up for delays in the implementation of certain structural measures, and that the external payments arrears are being settled, the Government of Senegal requests that the Fund grant waivers for the nonobservance of the performance criteria related to the nonaccumulation and elimination of external payments arrears set for end-December 1994.

Sincerely yours,

/s/

Papa Ousmane Sakho
Minister of Economy, Finance, and Planning

Table 1. Senegal: Quantitative and Structural Performance Criteria and Benchmarks Under the First Annual Arrangement Under the Enhanced Structural Adjustment Facility, July 1994-June 1995

	Amount at end-Dec. 1993 Actual 1/	Change from January 1, 1994 to end-1994									Change from January 1, 1995 to end-1995			
		March		June		September		December			Benchmarks		Benchmarks	
		Actual		Actual		Benchmarks		Performance criteria			March		June	
		Prog.	Adj.	Prog.	Adj.	Prog.	Adj.	Prog.	Adj.	Prog.	Est.	Prog.	Proj.	
		prog. 3/		prog. 3/		prog. 3/		prog. 3/			prog. 3/		prog. 3/	
A. <u>Financial performance criteria</u>		(In billions of CFA francs)												
1. Credit to the Central Government (net) 2/	362.0	-7.5	10.0	10.0	23.7	21.1	-4.6	15.4	1.0	14.0	-6.4	8.3	-0.2	
2. Net domestic assets of the banking system 2/	655.0	-19.2	3.5	40.6	54.3	-4.6	57.3	77.3	23.5	28.8	7.7	39.0	19.7	
3. Payments arrears of the Central Government and public entities														
Domestic	47.0	-6.5	-18.7	-19.0	-19.0	-19.0	-32.0	-32.0	-32.1	-5.0	-5.0	-10.0	-10.0	
External	174.2	-105.0	-97.6	-116.3	-116.3	-107.5	-174.2	-174.2	-128.7	--	-1.0	--	-18.0	
4. New external borrowing contracted or guaranteed by the Central Government on nonconcessional terms														
Between 1 and 15 years 4/	--	--	--	--	--	--	--	--	--	--	--	--	--	
Short-term (less than 1 year) 5/	--	--	--	--	--	--	--	--	--	--	--	--	--	
B. <u>Financial benchmarks</u>														
1. Total government revenue (cumulative)	255.9	71.1	148.4	223.1	223.1	218.5	327.1	327.1	301.5	79.3	84.8	180.3	180.3	
2. Wage bill (cumulative)	132.3	34.6	72.6	110.8	110.8	110.4	149.0	149.0	148.9	40.0	38.8	80.0	80.0	
C. <u>Structural performance criteria</u>		Date Status												
1. Liberalization of imports and price of cooking oils	End-December 1994										Observed			
2. Adoption of a 1995 budget compatible with the program objectives	End-December 1994										Observed			
D. <u>Structural benchmarks</u>		Date Status												
1. Adoption of a three-year public investment program for the period 1995-1997	End-December 1994										Observed			
2. Adopt a draft law aimed at permitting enterprises to freely adjust their work force to the level of their economic activity	End-December 1994										Observed			
3. Offer for sale of SONACOS to the private sector	End-January 1995										In progress			
4. Eliminate administered wholesale prices for rice	End-June 1995													

1/ Valued at the exchange rate of F 1 = CFAF 100.

2/ The program envisages that external budgetary assistance, including grants and debt rescheduling but excluding project aid, will amount, on a cumulative basis from January 1, 1994, to CFAF 213.2 billion at end-September, and CFAF 308.1 billion at end-December; and on a cumulative basis from January 1, 1995, to CFAF 18.2 billion at end-March 1995, and CFAF 41.9 billion at end-June 1995. The ceilings will be adjusted downward by the amount of external budgetary assistance in excess of that programmed, net of any amount used to accelerate the reduction of payments arrears of the Central Government. In the event of a shortfall in external budgetary assistance, as defined above, the ceilings will be adjusted upward by the amount of the shortfall up to a limit of CFAF 20 billion in 1994, and CFAF 10 billion in the first half of 1995.

3/ Ceilings adjusted in accordance with the provisions under the program, reflecting disbursements of external budgetary assistance of CFAF 199.5 billion at end-September 1994 and of CFAF 261.9 billion at end-December 1994.

4/ Nonconcessional loans contracted or guaranteed by the Government with initial maturity of 1-15 years, excluding debt relief obtained in the form of rescheduling or refinancing.

5/ Short-term external debt contracted or guaranteed by the Government, with the exception of normal import-related credits and debt relief.

Senegal - Paris Club - External Debt Renegotiation

The representatives of 12 Paris Club creditors 1/ met on April 19 and 20, 1995 to consider Senegal's request to alleviate its external debt service obligations. They reached an agreement on a flow rescheduling for Senegal under Naples terms, involving a 67 percent reduction in net present value. The rescheduling covers the period through August 31, 1997, in line with the ESAF arrangement.

The debt relief applies to: (i) commercial credits guaranteed or insured by, and loans from, the governments or appropriate institutions of the participating creditor countries, with an original maturity of more than one year, and which were extended to, or covered by a guarantee of, the Government of Senegal pursuant to an agreement concluded before January 1, 1983; (ii) repayments of principal and interest due as a result of the consolidation agreement concluded according to the Agreed Minutes dated November 21, 1986 and November 17, 1987; and (iii) repayments of principal and interest due as a result of the consolidation agreements concluded according to the Agreed Minutes dated January 24, 1989, February 12, 1990, and June 21, 1991.

The debt relief applies to 100 percent of principal and interest (including late interest) due and not paid as at March 31, 1995 and to 100 percent of principal and interest (excluding late interest) falling due from April 1, 1995 to August 31, 1997 and not paid on credits and loans specified above. For credits and loans specified in (i) and (ii) above, obligations other than those on official development assistance (ODA) loans will be rescheduled under one of the following two options (see Table 1): (a) Canada, France, and the United States opted to cancel 67 percent of the debt service obligations, with the remaining 33 percent to be consolidated on the basis of the appropriate market rates over a period of 23 years, including a grace period of 6 years; and (b) Brazil, Italy, Norway, Spain, and the United Kingdom opted to reschedule or refinance the amount eligible over 33 years with no grace period, on the basis of concessional interest rates, so as to reduce by 67 percent the net present value of the payments due (see Table 2). Debt service on ODA loans specified in (i) and (ii) above will be rescheduled or refinanced over a 40-year period, including a grace period of 16 years, on conditions and rates of interest at

1/ The participating creditor countries were Belgium, Brazil, Canada, Denmark, France, Italy, Japan, the Netherlands, Norway, Spain, the United Kingdom, and the United States of America. Also in attendance as observers were representatives from Finland, Germany, and Switzerland, as well as the Fund, the World Bank, the Organization for Economic Cooperation and Development, and the Secretariat of the United Nations Conference on Trade and Development.

least as favorable as the concessional rates applying to those loans. These terms will also apply to the rescheduled debt owed to Denmark and Japan.

For credits and loans specified in (iii) above, which have been previously rescheduled on Toronto terms, obligations will be rescheduled on the basis of the appropriate market rates and repaid in 16 graduated semiannual installments, starting on December 15, 1998 and ending on June 15, 2006. Arrears and current maturities rescheduled in 1994 on London (enhanced concessional) terms were excluded from the rescheduling.

The details of the rescheduling or refinancing arrangements will be determined in bilateral agreements between the Government of Senegal and the government or appropriate institutions of each of the participating creditor countries. The bilateral agreements are to be concluded with the least delays and, in any case, before November 30, 1995.

The Government of Senegal also undertook to pay all debt service obligations due and not paid to the governments of the participating or observer countries, or their appropriate institutions, and not covered by the Agreed Minute as follows: (a) for the amount in principal and interest due on March 31, 1995, pursuant to the deferral of payments arrears as at December 31, 1993 on credits and loans having an original maturity of more than one year pursuant to contracts concluded after January 1, 1983, repayments will be made in six graduated installments starting on May 31, 1995 and ending on July 1, 1997; and (b) all other amounts as soon as possible and, in any event, not later than September 30, 1995.

The Government of Senegal will seek to secure from each creditor country not participating in the Agreed Minute rescheduling or refinancing arrangements on terms comparable to those set forth in the Agreed Minute, and will not accord any such creditor country repayment terms more favorable than those accorded to the participating creditor countries. The Government of Senegal also agreed to negotiate promptly rescheduling or refinancing arrangements with all other creditors on debts of a comparable term, and to inform in writing the Chairman of the Paris Club, not later than November 30, 1995, of the progress made in these negotiations.

The provisions of the Agreed Minute will continue to apply provided that Senegal continues to have an appropriate arrangement from the Fund. For this purpose, the Government of Senegal agreed that the Fund would inform the Chairman of the Paris Club of the status of Senegal's relations with the Fund.

In response to the request of the representatives of the Government of Senegal, the representatives of the participating creditor countries agreed in principle to a meeting to consider Senegal's debt service payments falling due after August 31, 1997 and relating to credits or loans pursuant to a contract or other financial arrangement concluded before January 1, 1983, provided that Senegal continues to have an appropriate arrangement from the Fund; that Senegal has reached with other creditors, which did not participate in the meeting, effective arrangements that meet the conditions

described above and has reported on these in writing to the Chairman of the Paris Club; and that Senegal has complied with all conditions set out in the Agreed Minute.

The participating creditor countries further agreed in principle to hold a meeting to consider the matter of Senegal's stock of debt, if as at August 31, 1997 Senegal has maintained satisfactory relations with the participating or observer creditor countries; has fully implemented all agreements signed with them; and continues to have an appropriate arrangement from the Fund.

The total amount of debt relief that Senegal has obtained from the Paris Club as a result of this consolidation is estimated at CFAF 65.6 billion (SDR 83.2 million) for arrears as of March 31, 1995 and payments falling due in the period from April 1, 1995 through August 31, 1997. The total amount of debt relief obtained for calendar year 1995 is estimated at CFAF 30.2 billion (including CFAF 8.7 billion already obtained as a result of consolidation agreements concluded according to the Agreed Minute dated March 3, 1994). This amount is in line with that assumed under the ESAF-supported program. Moreover, the deferral of payments of arrears on post-cutoff-date debt, originally scheduled for March 31, 1995, provides Senegal with additional debt relief in 1995.

Table 1. Senegal: Paris Club Agreed Minute of April 20, 1995
Principal Repayment Schedule for Credits by Option

(In percent of amounts rescheduled)

Payment date	Non-ODA loans 1/		ODA loans
	Debt reduction 2/	Debt service reduction	
December 15, 1996	--	0.16	--
June 15, 1997	--	0.17	--
December 15, 1997	--	0.19	--
June 15, 1998	--	0.20	--
December 15, 1998	--	0.21	--
June 15, 1999	--	0.22	--
December 15, 1999	--	0.24	--
June 15, 2000	--	0.25	--
December 15, 2000	--	0.27	--
June 15, 2001	--	0.28	--
December 15, 2001	--	0.30	--
June 15, 2002	--	0.32	--
December 15, 2002	0.12	0.33	--
June 15, 2003	0.20	0.35	--
December 15, 2003	0.28	0.37	--
June 15, 2004	0.38	0.40	--
December 15, 2004	0.48	0.42	--
June 15, 2005	0.58	0.44	--
December 15, 2005	0.70	0.47	--
June 15, 2006	0.82	0.49	--
December 15, 2006	0.94	0.52	--
June 15, 2007	1.08	0.55	--
December 15, 2007	1.22	0.58	--
June 15, 2008	1.36	0.61	--
December 15, 2008	1.52	0.64	--
June 15, 2009	1.70	0.68	--
December 15, 2009	1.86	0.71	--
June 15, 2010	2.06	0.75	--
December 15, 2010	2.26	0.79	--
June 15, 2011	2.46	0.83	--
December 15, 2011	2.68	0.88	--
June 15, 2012	2.92	0.92	--
December 15, 2012	3.18	0.97	0.53
June 15, 2013	3.44	1.02	0.56
December 15, 2013	3.70	1.08	0.59
June 15, 2014	4.00	1.13	0.62
December 15, 2014	4.30	1.19	0.65
June 15, 2015	4.64	1.26	0.68
December 15, 2015	4.98	1.32	0.71
June 15, 2016	5.34	1.39	0.75
December 15, 2016	5.72	1.46	0.79
June 15, 2017	6.12	1.54	0.83
December 15, 2017	6.54	1.62	0.87
June 15, 2018	7.00	1.70	0.91
December 15, 2018	7.46	1.79	0.96
June 15, 2019	7.96	1.88	1.00
December 15, 2019	--	1.98	1.05
June 15, 2020	--	2.08	1.11
December 15, 2020	--	2.19	1.16
June 15, 2021	--	2.30	1.22
December 15, 2021	--	2.42	1.28

Table 1 (concluded). Senegal: Paris Club Agreed Minute of April 20, 1995
Principal Repayment Schedule for Credits by Option

(In percent of amounts rescheduled)

Payment date	Non-ODA loans 1/		ODA loans
	Debt reduction 2/	Debt service reduction	
June 15, 2022	--	2.54	1.34
December 15, 2022	--	2.67	1.41
June 15, 2023	--	2.81	1.48
December 15, 2023	--	2.95	1.56
June 15, 2024	--	3.10	1.63
December 15, 2024	--	3.26	1.72
June 15, 2025	--	3.42	1.80
December 15, 2025	--	3.59	1.89
June 15, 2026	--	3.78	1.99
December 15, 2026	--	3.97	2.08
June 15, 2027	--	4.17	2.19
December 15, 2027	--	4.38	2.30
June 15, 2028	--	4.60	2.41
December 15, 2028	--	4.84	2.53
June 15, 2029	--	5.06	2.66
December 15, 2029	--	--	2.79
June 15, 2030	--	--	2.93
December 15, 2030	--	--	3.08
June 15, 2031	--	--	3.23
December 15, 2031	--	--	3.40
June 15, 2032	--	--	3.57
December 15, 2032	--	--	3.74
June 15, 2033	--	--	3.93
December 15, 2033	--	--	4.13
June 15, 2034	--	--	4.33
December 15, 2034	--	--	4.55
June 15, 2035	--	--	4.78
December 15, 2035	--	--	5.02
June 15, 2036	--	--	5.26
Total	100.00	100.00	100.00

Source: Paris Club Agreed Minute.

1/ Does not apply to the debt service due as a result of the consolidation agreements concluded according to the Agreed Minutes dated January 24, 1989, February 12, 1990, and June 21, 1991.

2/ The percentages refer to the amounts consolidated after a 67 percent reduction.

Table 2. Senegal: Paris Club Agreed Minute of April 20, 1995

Selected Interest Rates Under Debt Service Reduction Option

(In percent)

Market rate	Corresponding concessional rate <u>1/</u>
15.00	4.3495
14.50	4.1675
14.00	3.9844
13.50	3.8001
13.00	3.6144
12.50	3.4274
12.00	3.2389
11.50	3.0488
11.00	2.8570
10.50	2.6633
10.00	2.4676
9.50	2.2698
9.00	2.0698
8.50	1.8674
8.00	1.6623
7.50	1.4546
7.00	1.2438
6.50	1.0300
6.00	0.8129
5.50	0.5923
5.00	0.3679
4.50	0.1397
4.375 and below	0.1000

Source: Paris Club Agreed Minute.

1/ Interest rate applied to rescheduled amounts to achieve a 67 percent reduction in net present value terms.

Senegal - Relations with the Fund

(As of March 31, 1995)

I. Membership Status: Joined August 31, 1962; Article XIV

II. <u>General Resources Account:</u>	<u>SDR million</u>	<u>Percent of quota</u>
Quota	118.90	100.0
Fund holdings of currency	148.67	125.0
Reserve position in the Fund	1.17	1.0

III. <u>SDR Department:</u>	<u>SDR million</u>	<u>Percent of allocation</u>
Net cumulative allocation	24.46	100.0
Holdings	5.55	22.7

IV. <u>Outstanding Purchases and Loans:</u>	<u>SDR million</u>	<u>Percent of quota</u>
Stand-by arrangements	30.91	26.0
SAF arrangements	22.13	18.6
ESAF arrangements	149.41	125.7

V. Financial Arrangements:

<u>Type</u>	<u>Approval date</u>	<u>Expiration date</u>	<u>Amount approved (SDR million)</u>	<u>Amount drawn (SDR million)</u>
ESAF	August 29, 1994	August 28, 1997	130.79	16.65
Stand-by	March 2, 1994	August 29, 1994	47.56	30.91
ESAF	November 21, 1988	June 2, 1992	144.67	144.67

VI. Projected Obligations to the Fund (SDR million; based on existing use of resources and present holdings of SDRs):

	<u>Overdue 03/31/95</u>	<u>Forthcoming</u>				
		<u>1995</u>	<u>1996</u>	<u>1997</u>	<u>1998</u>	<u>1999</u>
Principal	--	23.8	30.6	45.6	44.4	23.9
Charges/interest	--	3.1	3.7	3.4	2.5	1.5
Total	--	26.9	34.3	49.0	46.9	25.4

Senegal - Relations with the Fund (concluded)

(As of March 31, 1995)

VII. Exchange Rate Arrangement

Senegal is a member of the West African Monetary Union. The exchange system, common to all members of the Union, has been free of restrictions on the making of payments and transfers for current international transactions. ^{1/} The Union's common currency, the CFA franc, had been pegged to the French franc at the rate of CFAF 1 = F 0.02. Effective January 12, 1994, the CFA franc was devalued and the new parity set at CFAF 1 = F 0.01. On March 31, 1995, the rate of the CFA franc in terms of the SDR was SDR 1 = CFAF 756.69.

VIII. Article IV Consultations

Senegal is on the standard 12-month Article IV consultation cycle. The 1994 Article IV consultation was completed by the Executive Board on March 2, 1994 (EBS/94/11, Supplement 1, and SM/94/46).

IX. Technical Assistance

<u>Department</u>	<u>Type of Assistance</u>	<u>Time of Delivery</u>	<u>Purpose</u>
FAD	Resident expert	June 1986- November 1989	Tax advisor
FAD	Staff/member of fiscal panel	March 1988	Budgeting and treasury accounting
FAD	Staff/two members of fiscal panel/ World Bank consultant	February 1989	Fiscal reform and taxation of petroleum products
FAD	Resident expert	November 1991- January 1994	Reform of customs administration
STA	Staff	July 1992	Compilation of balance of payments
FAD	Headquarters-based consultant	December 1993	Harmonization of indirect taxation in the WAMU.
FAD	Staff	November- December 1994	Advising on social safety net issues

X. Resident Representative

Stationed in Dakar since July 24, 1984.

^{1/} The staff is keeping under active review all developments in Senegal's exchange system that may involve Fund jurisdiction.

Senegal - Relations with the World Bank Group

(As of March 31, 1995)

Commentary on lending operations

1. Bank assistance strategy in Senegal is guided by four basic objectives: (i) promoting competitiveness and establishing the basis for self-sustained growth; (ii) supporting human resource development and sustainable management of natural resources; (iii) reducing poverty; and (iv) improving management capacity in the public sector. The vehicles to support these objectives have been adjustment lending buttressed by appropriate technical assistance operations and sector-based rehabilitation/investment projects.

2. As of March 31, 1995, the World Bank Group had approved 104 operations in Senegal for a total amount committed, less cancellations, of US\$1,326.58 million, consisting of 72 IDA credits (including 3 special fund credits and two SFA), 20 Bank loans, and 12 IFC operations. Past projects supported agricultural diversification, institutional development, and expansion of the country's infrastructure, particularly its transport system. In recent years, emphasis has shifted to better utilization and maintenance of existing facilities, and on helping the Government resolve some of the key issues related to long-term development prospects. Ongoing or planned operations for agricultural extension and research, health, education, and transport sector reforms relate to both of these concerns.

3. The World Bank Group has committed \$43.2 million thus far in fiscal year 1995. The Bank's lending program is projected to expand over the three-year period 1996-98. Future operations include investment operations in education, health, nutrition, energy and urban infrastructure, and adjustment lending to deepen policy reforms and to support agricultural sector development.

Senegal - Relations with the World Bank Group (concluded)
(As of March 31, 1995; in millions of U.S. dollars)

<u>Lending operations</u>	<u>IBRD and IDA 1/</u>		<u>IFC loans/equity and investment participations 2/</u>		<u>Grand total</u>
	<u>Total commitments</u>	<u>Of which: undisbursed</u>	<u>Total commitments</u>	<u>Of which: undisbursed</u>	
Twenty loans and fifty-nine credits fully disbursed	880.08	(--)	--	(--)	880.08
Structural adjustment and technical assistance	60.20	(25.47)	--	(--)	60.20
Agriculture, livestock, and forestry	68.20	(16.53)	8.60	(0.15)	76.80
Energy, industry, and tourism	33.00	(21.04)	47.77	(0.45)	80.77
Transport, equipment, and telecommunications	68.73	(54.64)	--	(--)	68.73
Urban development, education, and health	<u>160.00</u>	<u>(117.77)</u>	<u>--</u>	<u>(--)</u>	<u>160.00</u>
Total	1,270.21	(235.45)	56.37	(0.60)	1,326.58
Less: repaid or sold					181.97
Total outstanding					1,144.61
Held by IBRD					29.87
IDA					1,105.67
IFC					9.06

Memorandum items:

<u>Annual IBRD/IDA operations 3/</u>	<u>Commitments</u>	<u>Disbursements</u>	<u>Repayments</u>
1985	24.0	26.8	5.4
1986	116.4	78.3	9.9
1987	97.0	95.4	10.3
1988	129.6	138.9	10.8
1989	21.6	48.8	11.0
1990	185.0	93.1	11.6
1991	107.1	61.4	19.6
1992	43.7	100.8	13.1
1993	40.0	53.9	12.0
1994	25.0	61.0	15.0
1995 4/	43.2	51.2	12.5

Source: World Bank Group.

1/ Excludes cancellations.

2/ IFC figures as of February 28, 1994; includes cancellations and terminations.

3/ During fiscal year ending June 30.

4/ 1995 fiscal year to March 31, 1995.

Senegal - Statistical Issues

Overall, Senegal's economic data base is comprehensive, but there are weaknesses in the areas of national accounts, the consumer price index (CPI), international trade, and the balance of payments. The authorities are continuing their efforts to improve the quality and availability of data. They are making appropriate arrangements to ensure that the legal provisions requiring economic agents to report statistical information on a timely basis are enforced.

1. Real sector

The national accounts data suffer from some deficiencies in their compilation. Finalized data are based on returns from over 1,000 firms, a process that typically takes up to three years. For preliminary data, the accounts are based on a sample of 300 enterprises, and use an input-output model that was developed with French technical assistance. The CPI coverage is limited to Dakar, and is based on 1967 weights. Currently, the CPI compilation is being improved with technical assistance from INSEE/EUROSTAT. The results of a household budgetary survey undertaken in 1991/92 are currently being processed, and they will be used to update the CPI weights. Trade data are incomplete due to the time taken by the customs directorate to report trade flows to the BCEAO, which may take up to three years.

2. Public finances

Data on public finances are collected by the Ministry of Finance on the basis of inputs from the Customs, the Tax and the Treasury directorates. Government finance statistics have not been reported by the authorities to the Statistics Department for many years. The latest data available for Senegal were published in the 1990 GFSY and covered the consolidated central government budget through 1984.

3. Monetary data

Monetary data for Senegal are prepared by the National Agency of the BCEAO. Outstanding data problems include the lengthy time period needed to finalize the data, and some inconsistencies between the balance sheets of BCEAO and the commercial banks.

4. Balance of payments data

A technical assistance mission visited Dakar in 1992 and identified three shortcomings in balance of payments compilation procedures: (i) trade data were incomplete and reported with lengthy delays; (ii) bank settlements reports are not processed by the BCEAO; and (iii) surveys sent to companies were often inaccurately answered or unanswered. Efforts are being undertaken to address these issues. The enhanced computerization system of the customs should also help reduce delays in reporting.